Module 1: Intro to Financial Literacy

Lesson 1: What is Financial Literacy?

C1 Financial literacy is the foundation for reaching your financial goals, whatever those goals look like

C2 Whether you want to travel, start a business, buy a house, or simply stop stressing about money, it all starts here.

C2 It isn't about becoming rich overnight. It's about understanding how money works so you are in control — not just guessing and hoping for the best

C3 It does NOT mean being good at math. This app teaches important concepts through quick, digestible lessons. No formulas, no lectures, no pressure

C4 Why does this matter? Because nobody is born knowing how to manage money. These are skills you learn

C The earlier you learn them the better

C5 Think about it: most schools never teach this stuff. Credit cards, taxes, savings accounts, investing — you're expected to just figure it out. We're changing that.

P1 [T/F] Our goal is to turn you into a math expert. [F] | Financial literacy can help reduce money-related stress. [T] | These skills are useful no matter your career or income level. [T]

C6 In simple terms, financial literacy is understanding how to earn, spend, save, borrow, and protect money wisely.

C7 It covers a wide range of topics like credit, debit, taxes, investing, and even understanding how the economy affects your wallet.

C Basically, if it relates to you and money, it's financial literacy

C8 You don't need to master all of it at once. That's what this app is for. One concept at a time, one lesson at a time.

P2 [MC] Which best describes financial literacy? (A) How to predict the stock market (B) How to understand and manage your money in real life ✓ (C) How to become an accountant

P3 [SA] Financial literacy can help you: Manage financial stress [Y] · Make confident money decisions [Y] · Guarantee you'll become a millionaire [N] · Understand how credit works [Y] · Build long-term security [Y]

Lesson 2: Why This Matters for You

C1 Let's be real — money affects almost every part of your life. Where you live, what you eat, whether you can afford to take a day off. Understanding it gives you options.

C2 People who understand money are less likely to fall into traps like high-interest debt, overdraft fees, or getting scammed. Knowledge is protection

C3 And it's not just about avoiding bad things. Financial literacy helps you build toward good things — vacations, a car, your own apartment, buying a phone, etc.

C4 Here's the thing about money: time is your biggest advantage when you're young. Small decisions now create huge differences later

P1 [MC] Which of the following is a benefit of being financially literate? (A) You'll never have to work again (B) You're better protected against financial traps ✓ (C) Your income automatically increases (D) Taxes no longer apply to you

C5 A lot of financial stress comes from not knowing. Not knowing how much you owe, not knowing what your bank is charging you, not knowing what happens when you miss a payment.

C6 Financial literacy replaces that uncertainty with clarity. Even if your situation isn't perfect, understanding it puts you in a position of power.

C7 The goal of this app is simple: help you feel confident when it comes to money decisions. Let's get into it.

P2 [T/F] Financial stress often comes from not understanding your financial situation. [T] | You need a high income to benefit from financial literacy. [F] | Starting financial habits young creates bigger advantages over time. [T]

Lesson 3: Key Terms — The Basics

C1 These words will come up constantly throughout every module, so getting comfortable with them is important. You don't have to memorize them nor their definitions, but it helps to be exposed to it.

C2 Income — any money coming in. Wages from a job, tips, freelance work, gifts, side hustles, government assistance. If money enters your possession, it's income.

C3 Expense — any money going out. Rent, food, subscriptions, transportation, phone bills. If money leaves your possession, it's an expense.

C4 Budget — a plan that matches your income with your expenses. A budget doesn't mean restricting yourself. It means deciding ahead of time where your money goes, instead of wondering where it went.

P1 [MC] What is a budget? (A) A record of everything you've spent (B) A plan for how you'll use your money ✓ (C) A list of all your debts (D) A type of bank account

C5 Asset — Anything you own that has financial value and could be turned to cash. A car, a savings account, a laptop, investments.

C6 Liability — Anything you owe to someone else. Student loans, credit card balances, car payments.

C7 Net Worth — your assets minus your liabilities. For example, if you own $5,000 in assets and $3,000 in liabilities, your net worth is $2,000.

P2 [SA] Which of the following are assets? A savings account [Y] · A student loan [N] · A car you own [Y] · A credit card balance you owe [N] · A laptop you own [Y]

P3 [MT] Match the term to its definition: Income → Money coming in | Expense → Money going out | Asset → Something you own with value | Liability → Something you owe | Net Worth → Assets minus liabilities

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Lesson 4: Key Terms — Money Concepts

C1 Now let's add a few more terms. These are slightly more advanced but still foundational.

C2 Interest — The cost of lending money. When you borrow, you pay interest to the lender. When you save, the bank pays interest to you. It's usually shown as a percentage.

C3 APR (Annual Percentage Rate) — the yearly cost of borrowing. If your credit card has a 20% APR and you carry a balance, you're being charged 20% per year on what you owe. Lower APR = better deal when borrowing.

C4 APY (Annual Percentage Yield) — the yearly return on savings, including compound interest. This is what you look for when comparing savings accounts. Higher APY = money grows faster.

P1 [MC] Which term describes the yearly cost of borrowing money? (A) APY (B) APR ✓ (C) Net worth (D) Inflation

P2 [MC] Which term describes how fast your savings grow in a year? (A) APR (B) Liability (C) APY ✓ (D) Expense

C5 Compound Interest — earning interest on your interest. Example: you put $100 in a savings account. It earns $3 in interest, growing to $103. Next month, interest is calculated on $103 — not $100. Over years, this adds up dramatically.

C6 Liquidity — how quickly you can turn something into cash without losing value. Cash is the most liquid asset. A house is not very liquid because selling takes time. Having liquid money available for emergencies is important.

C7 Inflation — over time, prices rise. $100 today buys more than $100 will in 10 years. This is why simply saving cash isn't always enough — your money needs to grow faster than inflation just to maintain its value.

P3 [T/F] Compound interest means you earn interest only on your original deposit. [F] | A house is considered a highly liquid asset. [F] | Inflation means the purchasing power of money decreases over time. [T]

P4 [DD] Sort into: 'Good when borrowing' vs 'Good when saving': Low APR [Good when borrowing] · High APY [Good when saving] · Low APR [Good when borrowing] · Compound interest working for you [Good when saving]

C8 These concepts will keep showing up. Don't stress about memorizing everything right now — the more you use this app, the more natural they'll feel.

Module 2: Credit

Lesson 1: What is Credit?

C1 Credit. The most important module **anyone can offer by far, including us**

C2 It is impossible to be wealthy without understanding what credit is. Someone can be earning 6-figure salaries and manage to be tens of thousands in debt, all because of lack of **understanding**

C3 **The dictionary definition says credit is just an agreement to get something now and pay for it later. But there is much more to it than just the definition**

C4 Because you buy stuff and pay for it later, credit accounts DO NOT HOLD MONEY. This is super super important

C5 Again, **credit cards DO NOT hold physical, tangible, investable money**

C6 You cannot earn a p**aycheck and deposit it into your credit account (and no, not direct deposit either)**

C6 **Credit is debt. Always remember this. Credit is debt. It is not your money. Financial institutions are letting you borrow their money**

C7 **And as the saying goes, nothing is free. Borrowing comes with a price. However, understanding it will lead to huge benefits**

P1 ToF *Credit is a buy now pay later system**T** *Credit is debt**T** *I can store money on a credit card**F**

Lesson 2: Components of a credit account

C1 First let**'s start with components of a credit card**

C2 Your credit card will always be linked to an account. While a card usually means the actual thing you hold and an account is the mobile app part, they are used in both ways. So, if anyone says credit card, they just mean the account

C3 **The first important term is your statement balance. This is just the official way of saying how much money you owe. Balance = debt**

C4 **You can't store money in your credit account. Instead, you make payments**

C5 **Every month you must make a minimum payment to keep your account in good standing**

P ToF Your credit card balance is how much you owe**T** *Making your minimum payment each month keeps your account in good standing**T** *Credit card and credit account are two completely different things**F**

C**6 Your credit card will be given a credit limit. This is how much the bank is lending you at once**

C**7 For example, if you have a $300 credit limit, you will never be able to buy a $400 pair of glasses with it. You can only have a balance as high as your credit limit**

C**8 Banks will set your credit limit based on many factors such as your income and credit history. You can always request a higher credit limit but be careful. If you won't be able to pay it off, don't request it**

C9 There are punishments for not paying your full balance and for missing payments. You're charged interest for having a balance at the end of the month(more next lesson)

P MC You have a $500 credit limit and a $450 balance. Can you make a $100 purchase without going over your limit?" *Yes *__No__

P MC So what would happen if you try to? *You get charged fees *your account closes *card declines**T**

C10 **For missed payments,**

C11 If you are less than 30 days late, the punishments are: *late fee(usually around $30 for first time offense) *instantly charged int**erest on balance and new purchases *loss of some promotions**

C**12 Being over 30 days late is much worse. This is when your credit score starts taking hits and you get a late payment credit mark that can stay on your record for up to 7 years.**

C**13 And anything past 60 days? Don't do that. It only gets worse. Just know you have a minimum payment and pay it ahead of time or set up automatic payments.**

C14 **Mobile banking apps will tell you when your payment is due(usually 1st day of each month). You can always pay ahead of time to be safe. This is a good idea especially if you are starting to control your own finances alone.**

C1**5 The lesson might have seemed long but just remember. Don't miss a minimum payment. You can't spend more than your credit limit. And your statement balance is just how much you owe.**

P MT Match late period (for minimum payment) to what happens: *Less than 30 days late -> late fees, interest starts *30-60 days late-> credit score hit and late mark lasting years *60+ days late-> legal trouble

Lesson 3: Benefits of Credit card accounts

C**1 Before scaring you away, let's bring up why most adults use credit. It's clearly trapped a large portion of people, so why keep going back?**

C**2 There are two simple reasons. The first one is some people are in a situation where they need to spend money they do not have. Always try and stay away from this. This should only happen for emergencies, not to go to a concert**

C3 The second reason is c**redit cards have benefits while debit cards do not**

C**4 Credit card benefits depend on the card and choice of bank. Each bank has benefits for having an account with them. And you get more benefits based on your card**

C**5 Card benefits come in the form of cash back. Which is exactly what it sounds like. Financial institutions give you money back for swiping their card AND paying it, no strings attached**

P ToF Credit cards offer benefits that debit cards don't**T** ***Cash back comes with hidden strings attached like minimum spend**F** ***Every credit card offers the exact same benefits**F**

C**6 Some cards are generic and may offer 1% cash back on everything. Others may be specific for different categories. Always compare cards and think of what you like to buy**

C**7 Just so you have an idea, common cash back categories include: *gas *groceries *online shopping *dining *travel *streaming *entertainment**

C**8 If you are wondering how can banks afford to just hand out money like that, you are thinking the right way**

C**9 Their plan to make money is to make it so easy for consumers to swipe their card that they get stuck spending money they don't have. This is by far the biggest problem**

C**10 Credit cards are a psychology game.**

C1**1 People rack up too much debt, can't pay it off, and get stuck in an interest trap**

C1**2 interest is how credit cards become money making machines for banks. Next lesson will cover why and how you get charged interest. And of course most importantly, how you will avoid it**

P MC Why are banks able to offer cash back and still make money? *They don't, banks lose money with credit cards *They bet some cardholders will carry a balance and pay interest**T** *The government pays them for it

Lesson 4: Dodging the trap

C**1 Credit cards are a psychology game**

C2 Th**e benefits are great. There are no strings attached. Might as well buy some stuff right?**

C**3 If you know someone who has used their credit card thinking "I can buy this, I get paid this week." They fell for that exact same trap**

C4 **With credit cards you don't actually have to pay for anything up front. That buy now pay later mindset is the trap**

C**5 A good rule of thumb is to never ever spend money you do not have. When making a purchase, if you do not already have the money, DO NOT BUY IT, even with your credit card.**

C6 **While at first it may not seem like a problem, it easily turns into a big issue when you keep that mindset. Let's walk you through a scenario. We're not saying it will happen to you, but it is the trend**

C7 People forget about purchases or simply don't realize how much they spend. **Their paycheck comes in. They go to pay their credit card, aaaaannd…. they can't pay the full balance**

C8 so what **right? I mean you covered the minimum payment, you only owe a little more. No big deal just pay it off with the next paycheck, right?**

C9 No**. A financially literate person will not do this. A wealthy person will not do this. The debt that carried over from one month to the next is now charged interest.**

P ToF *Paying your minimum payment means you avoid interest completely → False *If you don't already have the money for something, you probably shouldn't buy it yet, credit card or not → True *It's fine to carry a small balance here and there, no real downside." → False

C10 Paying **the minimum payment only protects you from late fees, not the interest that compounds every single day.**

C11 Credit card interest is the highest interest and it's not even close. It can have APRs(annual percentage rate) of 30% or more and is compounded every day. (This doesn't mean it grows 30% in a day; it will grow **30%/365 in one day. The 365 comes from days in a year)**

C12 What may seem like a small amount at first will snowball**. Do not let it get to that point. Credit card debt is some of the hardest debt to overcome, especially because it can be thousands at such a young age and keep growing so fast.**

P DD Drag these into the order they usually happen in a credit card debt trap:

1. Swipe the card for a purchase
2. Can't pay the full statement balance

3. Balance carries into next month
4. Interest gets charged
5. Debt starts to snowball

C13 Once **accounts get to this point, minimum payments go towards interest first. Meaning a small purchase could end up being a lot more expensive than you thought due to interest.**

C14 There are more negative impacts from not paying your **full statement balance than just interest. Any future transactions will instantly be charged interest as well. Until you get that balance down to $0, you are just paying banks instead of paying for stuff you had bought**

C15 On top of **all that, your credit score will take a hit. We'll explain this in the next lesson**

C16 **For now always remember, fully pay off your balance, don't miss payments, and do not spend money you don't already have in your checking account. Do these three things and enjoy your benefits.**

P MC If your card has a 30% APR, what percent interest are you charged in one day? *30%/365**T** *****30% *2% flat *30%/12

P SA Select all that are true about credit card debt *Balance carried over to another period is charged interest**T** *****interest compounds daily**T** *****Minimum payments stop interest *****It affects your credit score**T** *****It is cheap debt (low interest)

Lesson 5: Intro to credit score

C1 Time to talk about the three digits that somehow run half your adult life, your credit score

C2 Your credit score is a number, usually between 300 and 850, that basically acts as your financial report card. It tells lenders how trustworthy you are with borrowed money

C3 The two big scores you'll hear about are FICO and VantageScore. They calculate things slightly differently, but the idea is the same: turn your credit history into a number

C4 For FICO(which is more common), under 580 is poor and excellent is 800–850. In between those numbers you can also get classified as fair, good, and great

C5 Your score is used for way more than just credit cards. Car loans, mortgages, apartment applications, and sometimes even insurance rates and job applications (yep, really) can be affected by your score.

C6 The higher your score, the more lenders trust you. That trust turns into real benefits: lower interest rates, higher approval odds, and better terms on basically anything you borrow

C7 You're probably thinking this doesn't matter much right now. You're young and won't really be applying for loans any time soon

C8 But the truth is credit history takes time to build. Starting early, even with something small, gives you a massive head start over people who wait. Take advantage and start building your score early

P MC Why start building credit early, even if you don't need a loan any time soon? *Credit doesn't matter until you're way older *Credit history takes time to build, so get a head start**T** C) practice for when you can build credit

C9 If you thought, the answer was practice for when you can build credit, it's not because you can always build credit. There's no practice your credit score will always be affected

C10 Most banking apps show you your credit score. Remember this score is based on you, not just your account

C11 Even if you have multiple banks, they will all show the same score (can vary slightly because it is always being updated). You can also use some free tools to check your score

C12 Quick vocab: checking your own score is called a soft inquiry, and it does not hurt your score at all. Applying for new credit triggers a hard inquiry, which can bring you down a few points temporarily

C13 All a hard inquiry means is some institution is checking your score officially. This happens when applying for any credit such as a credit card or car loan

C14 The couple of points always come back so don't worry but at the same time, don't go around doing hard inquiries because they can add up

C15 Recap: your credit score is a trust number that follows you into credit cards, loans, apartments, and more. Check it often, it's free, and the earlier you start building it, the better off future-you will be.

P ToF Checking your own credit score counts as a soft inquiry. → True *A hard inquiry can cause a small, temporary dip in your score. → True *Once a hard inquiry happens, those points are gone forever → False

P MT Match the action to the inquiry type:

- Checking your own score in a banking app → Soft inquiry
- Applying for a car loan → Hard inquiry
- Applying for a new credit card → Hard inquiry
- A free credit-check tool pulling your score for you → Soft inquiry

lesson 6: what affects your credit score

C1 Your credit score is built from five categories. You don’t really have to memorize them, but getting the idea of what they are is super important. It will help you get good habits to improve your score

C2 The biggest factor by far is payment history, making up about 35% of your score.

C3 Paying on time, every time, is the single most important habit you can build (minimum payment is enough to stay in good standing for this category)

C4 Next up is credit utilization at about 30%. This is how much of your available credit you're actually using. The lower, the better.

C5 Seems counterintuitive right? If a bank is lending you $400, you would think that using the $400 and showing you can pay it off is good. But no

C6 Banks think a little differently. If they give you that $400 credit line, they want to see you control your impulses and not come close to maxing it out often(maxing just means getting to your max balance)

C7 Quick example: if you have a $1,000 credit limit and a $800 balance, that's 80% utilization, which is really high. Lenders like to see utilization under 30%, and under 10% is even better

P DD Drag these balances (on a $1,000 limit) from lowest utilization to highest:" $50 → $300 → $700 → $950

C8 Length of credit history makes up about 15%

C9 The longer your accounts have been open, the more trustworthy you look. This is why closing your very first credit card, even if you don't use it much, can actually hurt you.

C10 New credit makes up about 10%. Opening a bunch of new cards or loans in a short period looks risky to lenders. This is the category hard inquiries bring down

C11 Credit mix is the last 10%. Having a couple of different types of credit, like a credit card and a car loan, shows lenders you can handle different kinds of debt responsibly

C12 It's a smaller factor, so don't go taking out a random loan just to check this box.

P MT: Match the factor to its approximate weight:

- Payment history → 35%
- Credit utilization → 30%
- Length of credit history → 15%
- New credit → 10%
- Credit mix → 10%

C13 Recap: payment history and utilization are the heavy hitters (65% combined), so if you only remember two things from this lesson, make it those two. Pay on time, keep balances low

C14 the rest of the categories will go up over time

lesson 7: Getting the most from your credit score

C1 You need to build good habits. It really is the only way to increase your credit score. A single good decision is a great start, but if it isn't a habit, your credit score won't stay up

C2 The first good habit you must build is paying on time, every time. And not just the minimum payment, the full balance. There are three ways to do this and which one you prefer is fully up to you. Just make sure it works for you

C3 The first one is setting up autopayment. This will always make sure it gets paid on time. *Good: don't have to worry about the due date *Bad: always need enough in your checking account to avoid overdraft fees(charged on your debit card)

C4 The second one is just pay your balance right away. If you just made a purchase, pay it off as soon as possible (purchases can take a couple days to process). *Good: Keeps your credit utilization low *Bad: Some people don't like constantly seeing payment transactions(can get hard to track spending habits over longer periods)

C5 The third option is just manually go in and pay it off every now and then. You can look at how much you have been spending, make sure you have enough in your checking, and just complete your payment. *Good: forces you to check your spending habits. *Bad: can forget when the payment is due

P1 MT: Match the habit to its trade-off:

- Autopay → Never misses a due date, but needs funds ready in checking
- Pay off right after each purchase → Keeps utilization low, but harder to track total spending
- Manual periodic payment → Forces you to check spending habits, but easy to forget

C6 The second important habit you should build is checking your app often. Not obsessively, just enough to notice if you have been spending too much and need to slow it down. It will also help to catch fraud attempts early

C7 The third habit is understanding ads. You have probably seen a "you're pre-approved!" offer for a shiny new card in the mail. Or a great sign up bonus on tv or social media

C8 It may be tempting. But pause and take a moment.

C9 You shouldn't go around opening new accounts just for the bonuses

C10 Remember, every application is a hard inquiry. That lender pulls your full credit file, your score drops a little, and the inquiry stays on your file for about two years

C11 Not only does your credit score drop from the hard inquiries, but your average age of account will also go down

P ToF ***A** hard inquiry can lower your credit score a little → True * Opening a new account can quietly bring down your average account age → True

C12 Managing more accounts also makes you more susceptible to fraud. It is easier to notice a wrong charge if you only have a couple of accounts open

C13 New accounts and bonuses are great, but only apply if you are ready to take on more debt

C14 If you're thinking about spam opening accounts just for the sign up bonuses, don't do that. Banks have ways of counteracting it and you will not get approved. It hurts your score and even if you think you won't need your credit score for years to come, it still isn't worth it

C15 Basically, don't open a bunch of new accounts for the offers. Always limit yourself to what you can handle and limit your exposure to fraud (Next lesson covers what are some situations to open an account for)

P MC Should you take advantage of sign-up bonuses and spam open accounts? *Yes *No**F**

C16 There are still a couple of other things you can do to keep building your credit. If you already have your very first credit card from way back, don't close it

C17 Barely use it anymore? It's fine, let it sit open, and not because you forgot about it. You may want to leave it alone on purpose as proof of how long you have been responsible. It has a line of credit (which helps with credit utilization ratio) but it also increases the average age of your accounts.

C18 Even if you don't use it at all, always check it every now and then and make sure the balance is at $0. Scammers and frauds are everywhere.

C19 Yes this is a longer lesson, but this is important. Remember that credit mix category? There are ways to boost it without having to get different credit yourself

C20 If you have a trusted family member with great credit, you can be added as an authorized user to their card. Whether you actually swipe it or not is between you and the account owner, but it will help you to be on it anyways because their positive history quietly strengthens your own file too

C21 The final great habit you should build to get your credit score going is don't ignore mistakes. If you spot one, do something.

C22 A late payment that was never actually late? Dispute it. A charge you don't recognize? Find out what it is. Don't just shrug them off, money adds up.

C23 Your score won't grow overnight. No hacks, no shortcuts, just small consistent habits stacking up over time. That's really the whole secret. You got this, just be patient and start early.

P SA Select all good credit-building habits from this lesson:

- Paying your full balance every time — true
- Opening new cards for every sign-up bonus — false
- Becoming an authorized user on a trusted family member's card — true
- Ignoring small errors on your report — false
- Checking your app regularly — true

P MC You spot a payment marked late on your account that was never actually late. What should you do? *Ignore it, it'll go away *Dispute it**T** ***Close the account immediately

Lesson 8: opening a credit account(requirements, annual fee, intro apr, credit score effect, revolving vs intallment credit, cosigning risks

C1 Alright, you understand the game. Let's talk about when are you ready to open your first(or multiple) account.

C2 First of all, you have to be 18 or older. Minors can be authorized users, not account owners.

C3 If you're 18, 19, or 20, banks may need to see proof of your own income.

C4 Even if you are older, make sure you have some income you can use to pay off your balance. It can be income from anywhere, including scholarships or your parents.

C5 You know you are ready for a credit card if you have been controlling your spending well and understand the interest trap of not paying off your full balance. Every time. Always pay off your full balance.

C6 A good reason to open a card is for benefits. Whether it's cash back for travel, food, gas, or anything you have been spending a lot on, might as well get rewards for it

C7 Maybe one card gives you 3% back on gas and groceries while another 3% back on entertainment and restaurants. Covering all your bases is why people like to have more than one card open

C8 If you have income and good habits, you are ready.

P MC Which of these can mean you're ready to open a credit card? *You have income and can control your spending**T** ***You want to buy something you can't afford right now *A friend has cool travel points

C9 Credit history or not, the two starter options are good considerations. They are student cards and secured cards. Let's break down what each one is

C10 A student card is a normal credit card built for people with little to no credit history. They have no annual fees but their benefits aren't as good as other cards (even other free ones)

C11 A secured card works differently. You put down a cash deposit, say $200, and that deposit becomes your credit limit. The bank holds onto it as a safety net in case you don't pay.

C12 The core difference is a student card trusts you upfront, while a secured card removes the bank's risk entirely by holding your own money as backup.

C13 Most people lean toward student cards, and it's easy to see why. You don't have to lock up cash you might need elsewhere, and student cards often come with cash back perks that secured cards skip.

C14 Secured cards still have their place though, especially if you don't qualify for a student card or are rebuilding credit. Either way, both report to the credit bureaus the exact same way, so both build your score.

C15 As a beginner, there's rarely a reason to pay an annual fee for a card. Until you start spending more to make the rewards worth it, free cards are always great options

P DD Describe the features of each card: *Secured card: requires deposit *Student card: offers benefits, trusts you with no deposit *Both: Build credit, can have no annual fee

C16 Many cards also come with an intro APR, a promotional 0% interest period that usually lasts somewhere between 6 to 18 months. It sounds great, but remember once that window ends, any remaining balance starts accruing interest at a high rate.

C17 While it is helpful, you should pay it off as though you don't have that 0% interest. Always be building your good habits and keep your balance low

P ToF *An intro APR usually means 0% interest for a promotional period → True *Once your intro APR period ends, your interest rate disappears → False *You should try to keep your balance low even during your 0% intro period → True

C18 Opening a new account does affect your credit score, at least at first

C19 You'll get a small dip from the hard inquiry, and your average account age drops slightly since you just added a brand new account

C20 This is completely normal and recovers over time as the account ages and you build a positive history with it

C21 To recap: check the age requirement, know your student vs. secured card options, watch out for annual fees, understand your intro APR before it disappears, and don't stress about the small initial dip. It pays off.

C22 and most importantly, enjoy the benefits that come with keeping your balance low and making payments on time

P MC Opening a new credit account will cause your average account age to... *Increase *Decrease**T** *Stay exactly the same

P SA Select all that are true about opening your first credit card:

- You must be at least 18 — true
- Minors can be primary account owners — false
- A hard inquiry causes a small, temporary score dip — true
- You need to pay an annual fee to build credit — false

Lesson 9: Your first 90 days with a card

C1 Card's approved, it's sitting in your wallet (or your phone). Now what?

C2 First move: link it to your banking app and turn on transaction notifications. A quick buzz every time it's used keeps you aware. You don’t want surprises at the end of the month.

C3 Experts recommend picking one small recurring expense, like a streaming subscription, and put it on the new card. Same amount every month, easy to track, low risk while you get comfortable with debt

C4 Check the app once a week. Not because something's wrong, just to build the habit of knowing your balance before it knows you.

C5 Around day 30, your first statement drops. Pay it off in full, not just the minimum, to protect your grace period and skip interest completely.

C6 Around day 60, check your credit score again. You likely won't see huge movement yet, but you might spot the account showing up on your report for the first time.

C7 By day 90, you've got three full months of on-time payment history. Small and boring on purpose, and exactly how good credit gets built.

C9 It’s simple: link it, use it, pay it in full, check in weekly. Ninety days from now, you'll already be ahead of most people twice your age.

C10 For even more tips on how to use it, go to consumer skills module

P DD Drag these into the correct order of your first 90 days with a new card:"

1. Link card to banking app & turn on notifications
2. Put one small recurring expense on it
3. Check the app once a week
4. Pay your first statement in full (~day 30)
5. Check your credit score again (~day 60)
6. Reach 3 months of on-time payment history (~day 90)

C11 Quick note: if you don't have a small recurring expense, either link it to savings or don't do this step. Never force yourself to spend money on something random. This step is just recommended to get used to paying off your card however you feel comfortable

Lesson 10: Credit Report vs. Credit Score

C1 You know what a credit score is by now. You know what affects it. But who tracks it?

C2 Your credit report is the full document your score gets calculated from. Think of the report as your grades, and the score as the GPA that summarizes it.

C3 Three companies keep these reports: Equifax, Experian, and TransUnion. They're called credit bureaus, and each one keeps its own version of your file.

C4 So what's actually on it? Every account you've opened, your full payment history, current balances, your credit limits, and any hard inquiries from the last two years.

C5 Here's something most people don't realize: not every lender reports to all three bureaus. So your Equifax file might look slightly different from your Experian file, which is why your score can vary a few points depending on where you check it.

C6 Reading your report matters for more than just understanding your score. It's also how you catch things that shouldn't be there, like an account you never opened, a payment marked late that wasn't, or straight-up fraud.

C7 Go to annualcreditreport.com to see this report. You can check it once a year for free from each bureau. This link is on the home page too.

C8 If you spot an error, you can dispute it directly with the bureau, usually online, and they're legally required to investigate within 30 days

C9 Always remember your score is the summary while your report is the full story behind it. Both are important and the report is where you can catch mistakes early on. Go to annualcreditreport.com to check your score once a year. It is also the best way to combat fraud.

P MC What's the difference between your credit report and your credit score? *They're the same thing *The report is the detailed history, the score is the summary number**T** ***Only the report tracks late payments

P ToF *All three credit bureaus always have the exact same information about you → False *Every lender reports to all three bureaus →False *You can check your credit report for free once a year from each bureau → True

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Lesson 11: Buy Now, Pay Later (BNPL) and Cash advances

C1 You've seen it at checkout: "4 payments of $37.50, interest free." Let's talk about what's happening here

C2 Buy Now, Pay Later splits a single purchase into a few smaller payments, usually spread over six weeks, often with zero interest if you pay on time.

C3 Apps like Klarna, Afterpay, and Affirm are the big names here. You've probably scrolled past one of these options at some point

C4 It's different from a credit card in a key way: Buy now pay later (BNPL) is usually tied to one specific purchase, not an ongoing line of credit you keep reusing.

C5 For a while, BNPL activity didn't even show up on your credit report at all. That's changing fast, and more providers are starting to report your payments, both good and bad, to the bureaus.

C6 Here's the trap: splitting a $200 pair of shoes into four $50 payments makes it feel way more affordable than it actually is. Your brain sees $50, not $200

C7 And it stacks.

C8 One BNPL plan for shoes, another for concert tickets, another for a phone case, all sitting in different apps. Suddenly you've got five payments due across five different days, and none of them feel connected

C9 Miss a payment and you're looking at late fees, and depending on the provider, it can now get reported and hurt your credit just like a missed credit card payment

C10 The move: treat every BNPL payment with the same seriousness as a real bill. If you wouldn't put it on a credit card and pay it off immediately, think twice about splitting it into four. It’s the same final price after all

P SA Select all that are true about Buy Now, Pay Later (BNPL):

- It splits a purchase into several smaller payments — true
- It never affects your credit score — false
- Missing a payment can lead to fees — true
- Running multiple BNPL plans can be easy to lose track of — true

P MC Why does splitting a $200 purchase into four $50 payments feel easier to buy?" *It's cheaper overall *BNPL purchases don't count as spending *Your brain focuses on the smaller number, not the total**T**

C11 Then there are cash advances

C12 You can use your credit card to get cash. Remember credit isn't usually tangible money, it is debt. There are three ways to convert this debt into cash

C13 The easiest is to make an ATM withdrawal with your credit card. The other ways are to go to a bank and speak to a teller(person in the window) or use a convenience check(different from a normal check)

C14 This isn't recommended though, and the biggest reason is this isn't free.

C15 You are instantly charged between 3-5% of the amount or a flat minimum, whichever is more

C16 More importantly than just the fee is how interest grows. There is NO grace period like with normal purchases. Interest starts growing right away, and fast

C17 Doesn't matter when your balance is due, you're being charged interest for your cash advance as soon as you get the cash. And it's usually even higher than your regular APR

C18 There is a limit on the amount you can get and it's usually less than your actual credit limit. But unless this is absolutely necessary, don't get a cash advance.

P MT Match the cash advance cost to what it means:

- Cash advance fee → charged instantly, 3–5% of the amount or a flat minimum
- No grace period → interest starts the moment you get the cash
- Higher APR → higher than your regular interest rate

C19 Review: BNPL isn't free money, and neither is cash advance. it's just credit wearing a friendlier outfit. Same rules apply, don't buy what you can't already afford and remember cash advances end up being much more expensive

Lesson 12: Identity Theft & Fraud Basics

C1 Not the most exciting topic, but easily one of the most important. Let's talk about protecting your identity, literally.

C2 Identity theft is when someone gets ahold of your personal info, like your Social Security number or date of birth, and uses it to open accounts, take out loans, or rack up charges that aren't theirs to make.

C3 Here's the uncomfortable part: young people are prime targets. A clean, unused credit file is attractive to scammers because nobody's watching it closely yet.

C4 Some kids even have their SSN stolen years before they ever apply for their first credit card, and the fraud doesn't get noticed until they try to open an account themselves.

P ToF A clean, unused credit file makes someone an attractive target for identity theft → True
*Some people have their SSN stolen years before they ever open their first account → True
*Nobody really targets young people for identity theft since they don't have much yet → False

C5 Rule one: never hand out your SSN unless it's truly necessary, like a job application or a loan. A random text or call asking you to "verify your account" is not one of those times.

C6 That leads to phishing, when scammers pretend to be your bank, a delivery service, or literally anyone trustworthy to trick you into handing over personal info or login details. If a message feels urgent or too good to be true, pause before clicking anything.

C7 Your first real line of defense is boring but effective: check your statements regularly. Catching one unfamiliar charge early can stop a much bigger problem before it starts.

C8 If things escalate, you have two major tools. A credit freeze is free and blocks anyone, including you, from opening new credit in your name until you unfreeze it.

C9 Freezing your credit is completely free by law and will not lower your credit score. To do this you have to contact each individual credit bureau(online takes less than 5 minutes for each). While you can always search them up if you have to, its good to remember the three bureaus are Equifax, Experian, and TransUnion

C10 A fraud alert is the lighter option. It doesn't lock things down completely, but it forces lenders to verify your identity before approving anything new. It's free and typically lasts a year

C11 This is easier to do because you only have to contact one bureau and, by law, that bureau has to contact the other two for you

C12 A quick way to remember the difference: a freeze locks down completely, an alert just looks for verification before using

P MT Match the tool to what it does: *Credit freeze → Completely blocks new credit from being opened; contact each bureau individually *Fraud alert → Requires lenders to verify your identity first; only need to contact one bureau, who notifies the other two

C13 If you ever do become a victim, act fast. Dispute the fraudulent charges with your bank immediately, and report it at identitytheft.gov, which walks you through building a recovery plan step by step.

C14 Recap: guard your SSN, question anything that feels off, check your statements often, and know that a freeze or alert is one call away if something ever looks wrong.

P MC If you become a victim of identity theft, where should you report it? *identitytheft.gov**T** *A random online forum *Nowhere, it resolves itself

Badge Battle (**Note: Missed questions get skipped+stall animation and come back to later, user must finish within time)**

Q1 (Lesson 1): ToF: "Credit cards hold real, spendable money you can deposit into." → **False**
Q2 (Lesson 2): MC: "Your statement balance is..." A) Money stored on your card B) How much you owe C) Your credit limit → **B**
Q3 (Lesson 3): MC: "Banks offer cash back because..." A) They're legally required to B) They're betting some cardholders will carry a balance and pay interest C) It costs them nothing → **B**
Q4 MC: "Which of these still costs you money, even if you pay it back the same day?" A) A cash advance B) A regular purchase paid off before the due date → **A**
Q5 (Lesson 4): ToF: "Paying only the minimum payment protects you from interest." → **False**
Q6 (Lesson 5): MC: "A credit score is best described as..." A) Your bank balance B) A trust number based on your credit history C) Only your income → **B**
Q7 (Lesson 6): SA: "Select the two biggest factors in your credit score:"
Payment history
Credit utilization
Credit mix
New credit
Q8 (Lesson 7): ToF: "Closing your oldest credit card can actually hurt your score." → **True**
Q9 (Lesson 8): MC: "What makes a secured card different from a student card?" A) It requires a cash deposit that becomes your limit B) It has no fees at all C) It doesn't build credit → **A**
Q10 (Lesson 9): ToF: "You should pay only the minimum on your very first statement." → **False**
Q11 (Lesson 10): MC: "Your credit report is..." A) The same thing as your score B) The detailed history your score is calculated from C) Only visible to banks → **B**
Q12 Which hurts your score more: paying the minimum on time, or paying the full balance days late?" A) Paying the minimum on time B) Paying full balance late**B**
Q13 (Lesson 11): ToF: "Cash advances have a grace period, just like regular purchases." → **False**
Q14 ToF: "Opening a loan you don't actually need, just to improve your credit mix, is a smart move." → **False**
Q15 MC: "Who's in the stronger credit position: someone with a 620 score, or someone with a 780 score?" A) 620 B) 780 → **B**
Q16 (Lesson 12): MC: "Which tool completely blocks new credit from being opened in your name?" A) Fraud alert B) Credit freeze → **B**
Q17 MC: "Which matters more to your score: how much of your limit you're currently using, or how long you've had credit open?" A) How much you're currently using B) How long you've had credit open → **A**

Final Boss
MT: Match the term to what it actually means:
Statement balance → How much you currently owe
Credit limit → The most you're allowed to borrow at once
Credit utilization → The percentage of your limit you're using
Hard inquiry → Happens when you apply for new credit
Credit freeze → Blocks new accounts from being opened in your name

Module 3: University Finances

Lesson 1: Common College expenses

C1 College costs way more than just tuition, and a lot of students don't always realize how fast money is spent

C2 Tuition is one of the biggest charges. It's usually charged per credit hour per semester and it's different for in-state vs out-of-state students at public schools.

C3 Room and board is next. "Room" is where you live (dorm or apartment) and "board" is your meal plan

C4 Together, this can rival or even beat tuition costs, especially at big universities.

C5 Then there are the fees — technology fees, activity fees, health fees, lab fees. Schools love bundling in "small" charges that add up fast.

C6 Always check the full cost breakdown, not just the tuition price. Every year, each university releases an estimated cost of attendance for students to budget

C7 It is just an estimate so depending on the classes you take and your lifestyle, it could end up being more

P1 [SA] Which of these typically fall under "room and board"? Dorm costs [Y] · Tuition [N] · Meal plan [Y] · Technology fee [N]
C8 Books and supplies are a hidden budget killer. A single textbook can go for $150–$300, and a semester's worth of books can easily hit $500–$1,000
C9 The good news is you don't always have to pay full price. Renting textbooks, buying used, or finding a digital copy can cut this cost by a lot

C10 Your university bookstores may not always be the cheapest. If you're on a tight budget, shop around and look at different prices

C11 Transportation matters too. There are costs such as gas, parking passes, bus, and rideshare

C12 Of course many campuses are walkable though. Many students choose to buy scooters, bikes, or skateboards. Basically if it has wheels and you like it, use it
P2 [MC] What's usually the easiest way to lower your textbook costs? (A) Always buy new from the campus bookstore (B) Rent or buy used copies ✓ (C) Skip buying them entirely (D) Buy extra copies as backup
C13 Last category: personal expenses

C14 Toiletries, laundry, entertainment, going out with friends — the stuff that doesn't show up on your university bill but absolutely counts as money spent
C15 This is also where lifestyle creep sneaks in. Doordash three times a week and subscription apps can quietly drain hundreds of dollars a month without you noticing
C16 Add it all up and the "sticker price" you see on a school's website is rarely what you'll actually pay

C17 Always estimate your full cost of attendance and take into account your personal spending habits. There are always more expenses than just tuition and rent
P3 [T/F] Tuition is usually the only major cost of attending college. [F] | Renting or buying used textbooks can meaningfully lower costs. [T] | Personal expenses like food and entertainment are part of your real college budget. [T]
P4 [DD] Sort into 'One-Time-ish Cost' vs 'Recurring Cost': Parking pass for the semester [Recurring] · Laptop purchase [One-Time-ish] · Meal plan [Recurring] · Move-in dorm supplies [One-Time-ish]
C18 Recap: college costs break down into tuition, room & board, fees, books & supplies, transportation, and personal expenses. Knowing each category helps you budget for the real number, not just the headline number.

Lesson 2: Paying for College - FAFSA

C1 Most students don't pay for college purely out of pocket. Financial aid comes in so many different ways
C2 The starting point is always FAFSA
C3 FAFSA stands for Free Application for Federal Student Aid. It's the form that determines what financial aid you qualify for
C4 It's free to file and doesn’t take very long at all. Make sure you always get this done and answer it as accurately as possible
C5 You must fill it out every year you're in school using tax information from two years before
C6 It sounds weird but for 2026-2027 school year you should fill the FAFSA form using you and your parents’ 2024 tax return
C7 You should always fill it out even if you don’t think you will qualify for much
C8 While it does directly indicate how much you will receive from the Pell Grant, It can also be used by schools for school-specific scholarships
C9 Next lesson will go more into detail how FAFSA is used in nearly every aspect when it comes to financial aid
P1 [MC] What does FAFSA determine? (A) Your college GPA requirements (B) What federal

grants, loans, and work-study you qualify for ✓ (C) Which classes you need to graduate (D) Your credit score
C10 FAFSA applications open in fall for the next school year. So you have almost a year to apply
C11 For example, The applications for 2027-2028 school year open in Fall 2026
C12 Seems like a long time but don't wait. Applying early gets you access to limited funds, quicker award letter, and just reduced stress overall
C13 Also if there is any mistake you have time to correct it
C14 The deadline to submit it is end of June, but it's best to knock it out early and get it over with
C15 Finally, a common mistake people make is not updating the school you're going to. Don't do this
C16 Sometimes you fill out the form without knowing what university you are going to end up at. That's okay, just make sure to go back and change it later so you get your aid
C17 To recap: *Fill out your FAFSA form every year(best to do it in fall) *It is the starting point for all types of financial aid, both from the government and schools *You will need your tax return and W-2 from 2 years before

Lesson 3: Paying for College – Grants vs. Loans

C1 We all know college is expensive. While not everyone chooses to go, those that do have to find a way to pay for it.
C2 You're either paying with grants, loans, college savings accounts, or out of pocket.
C3 This lesson focuses on the different types of loans and grants out there.
C4 Grants are the best type of aid. It's just money you don't pay back.
C5 The most common federal grant is the Pell Grant, given based on financial need. The government decides this based on the FAFSA form.
C6 Scholarships are another type of grant. It's free money, no repayment, but they're usually merit based instead of purely need based.
P1 [MC] What determines whether you get a Pell Grant? (A) Your GPA (B) Your financial need shown on the FAFSA ✓ (C) Your major (D) A scholarship essay
C7 Everyone knows loans are the opposite. They're borrowed money you have to repay, usually with interest.
C8 If needed, you can either have a federal student loan or a private student loan. Federal loans are almost always better because of lower interest rates, no credit check, and borrower protections
C9 Federal student loans also have a minimum 6-month grace period. Meaning you don't have to make payments until you have been out of school for six months. Then missed payment penalties start
C10 Some private student loans also have these grace periods, but it isn't always guaranteed
C11 Federal student loans come in two main types, subsidized and unsubsidized.
C12 Subsidized loans are based on financial need, and the government pays the interest while you're in school.
C13 Unsubsidized loans aren't need based, and interest starts building immediately, even while you're still in school
C14 Since subsidized loans are interest free for you at the start, they're always better. If you need student loans, subsidized loans should always be your go to if you qualify
P2 [T/F] Grants and scholarships generally need to be repaid. [F] | Subsidized loans accrue interest while you're in school. [F] | Unsubsidized loans start accruing interest right away. [T]

P3 [DD] Sort into 'Subsidized' vs 'Unsubsidized': Government pays interest while in school [Subsidized] · Based on financial need [Subsidized] · Interest builds up right away [Unsubsidized] · Not based on financial need [Unsubsidized]
C15 As you probably guessed, private student loans come from banks or lenders instead of the government.
C16 They usually have less flexible repayment options and higher interest rates, so again, federal loans are almost always the better first option.
C17 Private loans also need a credit check, and most students don't have great credit yet, so they may need a cosigner like a parent.
C18 If you miss payments, private loans don't offer the same protections federal ones do, like income based plans or deferment
P4 [MC] Why are private student loans usually a backup option instead of a first choice? (A) They always have lower interest rates (B) They lack the flexible protections federal loans offer ✓ (C) They don't need a credit check (D) They're only for graduate students
C19 The final type of aid is work study. It is completely different because, like the name, you work shifts
C20 It's a federal program that gives you a part time job, often on campus, to help cover expenses.
C21 You get paid like a normal job through a paycheck, not as a lump sum toward tuition.
C22 You have to qualify for work study through your FAFSA, and not every school offers the same jobs, so check what your school has available.
P5 [MC] How does work study money reach you? (A) One lump sum applied to tuition (B) As a paycheck for hours worked, like a normal job ✓ (C) As a tax refund (D) Automatically into a 529
C23 Recap. FAFSA is your gateway to aid. Grants and scholarships are free money. Loans, federal or private, must be repaid with interest. Work study is a paid part time job to help cover costs while you're enrolled.

Lesson 4: How these affect taxes

C1 Financial aid isn't just a school thing. A lot of it touches your taxes too, so here's what actually matters when tax season rolls around
C2 Around January or February, your school sends a Form 1098-T. It shows how much you paid in tuition and how much aid you received that year
C3 That form basically shows the gap between the two. Whatever wasn't covered by aid is what usually counts as your out of pocket educational expense
C4 You, or whoever claims you, use this form to see if you qualify for any education tax breaks, so don't toss it in a drawer and forget about it
P1 [T/F] Form 1098-T shows how much tuition you paid and how much aid you got. [T] | Form 1098-T reports your GPA to the IRS. [F]
C5 Scholarships and grants used for tuition and required school costs are generally tax free
C6 Used for something else, like room and board, that portion can actually become taxable income. Yeah, nobody tells you that part
C7 There are also a couple of education tax credits out there that can lower what you owe
C8 When you file, you or whoever claims you enters your school and tuition info, most of which comes straight off that 1098-T
C9 From there, your tax software or tax preparer checks if that info qualifies you for a credit and applies it automatically, so you're not doing any of the math yourself

P2 [MC] If your scholarship money is used for room and board instead of tuition, what happens to it? (A) It stays completely tax free (B) That portion can become taxable income ✓ (C) It gets refunded to the school (D) It reduces your loan balance
C10 Paying interest on your student loans also helps a bit. You can usually deduct part of what you paid, which just means it lowers your taxable income
C11 Work study income is taxable, just like a regular paycheck. Taxes get withheld the same way, so treat it like any other job at tax time
P3 [MC] How is work study income treated for taxes? (A) It's completely tax-free (B) It's taxable, just like normal wages ✓ (C) It's taxed only at graduation (D) It's tax-free up to a set amount
P4 [SA] Which of these are generally taxable if applicable? Work study wages [Y] · Scholarship used for tuition [N] · Scholarship used for room and board [Y] · Pell Grant used for required course fees [N]
C12 Recap. Aid used for tuition and required costs is usually tax free, but aid used elsewhere can be taxable. Your 1098-T feeds straight into your tax filing, and there are credits and deductions out there that can lower what you owe, so it's worth actually looking into come tax season.

@@@@@Note for me: Add 1098T picture with boxes and what each means

Lesson 5: College savings accounts

C1 There are two main ways to save for college ahead of time, a 529 plan and the Florida Prepaid Plan. If you're already in college reading this, well, better late than never
C2 A 529 plan is a savings account built specifically for education costs. The money you put in grows tax free, and withdrawals are also tax free as long as they're used for qualified education expenses
C3 Qualified expenses include tuition, room and board, books, and even some K through 12 tuition depending on the plan
C4 Use the money for something non qualified and you'll owe taxes plus a 10% penalty on the earnings portion, so don't try to be sneaky with it
C5 Anyone can open a 529 for a beneficiary. Usually a parent opens one for their kid, but grandparents, other family, or even the student themselves can contribute
P1 [MC] What happens if you withdraw 529 funds for a non qualified expense? (A) Nothing, it's totally flexible (B) You owe taxes and a 10% penalty on earnings ✓ (C) The account gets frozen (D) The state takes the money back
C6 A 529 is invested, kind of like a retirement account. Your money sits in mutual funds or similar investments and grows over time, meaning it can go up or down depending on the market
C7 Florida Prepaid works differently. Instead of investing your money in the market, it locks in future tuition at today's rates at Florida public colleges and universities
C8 Basically, you're pre paying for tuition years in advance, so if tuition rises later, and it almost always does, you're protected from that increase
C9 The tradeoff is Florida Prepaid is less flexible. It's built around Florida public schools, so if your student goes out of state or private, you often only get a partial benefit or a refund of what was paid in
P2 [T/F] A 529 plan's value can go up or down since it's invested. [T] | Florida Prepaid guarantees tuition costs at today's rates for in-state public schools. [T] | 529 plans can only be opened by parents. [F]

C10 So which one's better? Depends on your goals. A 529 gives you flexibility, any state, many types of schools, more expense categories, but comes with investment risk
C11 Florida Prepaid gives you certainty with a locked in tuition rate, but less flexibility overall
C12 Some families actually use both. Florida Prepaid locks in tuition, and a 529 on the side covers room, board, and other costs Prepaid doesn't fully handle
P3 [MC] Which best describes Florida Prepaid? (A) An investment account with market risk (B) A way to lock in Florida public tuition at current rates ✓ (C) A federal loan program (D) A retirement account for parents
P4 [DD] Sort into '529 Plan' vs 'Florida Prepaid': Grows based on market investments [529 Plan] · Locks in current tuition rates [Florida Prepaid] · Can be used at schools nationwide [529 Plan] · Best suited for Florida public schools [Florida Prepaid]
C13 Recap. Both accounts help you get ahead of college costs. A 529 is a flexible, invested education savings account. Florida Prepaid locks in tuition at today's price for Florida public schools

Lesson 6: Good practices for budgeting

C1 College is often the first time you're managing real money on your own, no parent double checking every purchase
C2 Building good habits now sets the tone for the rest of your financial life, so it's worth taking seriously early
C3 Start by listing your income. Financial aid refunds, a part time job, work study, family support, whatever's actually coming in
C4 Then list your fixed costs. Rent, meal plan, phone bill, subscriptions, the stuff that leaves your account no matter what
P1 [MC] What's the purpose of listing your fixed costs first? (A) To see how much money you can borrow (B) To know what's guaranteed to leave your account each month ✓ (C) To calculate your GPA (D) To qualify for FAFSA
C5 A simple starting framework is splitting spending into needs, wants, and savings. Something like 50% needs, 30% wants, 20% savings, adjusted for the reality that college needs often take up more
C6 Track your spending, even loosely is okay. You don't need a fancy spreadsheet counting your exact dollar. A budgeting app or your bank's own spending breakdown works fine
C7 The goal is just awareness. Most overspending happens on autopilot, not on purpose
C8 Watch out for subscription creep. Streaming services, random apps, delivery memberships, they're small individually but can quietly add up to $50 to $100 or more a month
P2 [T/F] Tracking spending only matters if you use a detailed spreadsheet. [F] | Small recurring subscriptions can add up to a significant monthly cost. [T] | Frequent food delivery is a common way college budgets get blown. [T]
C9 Cook more, order less. Doordashing every meal instead of using your meal plan or actually cooking is one of the biggest silent budget killers in college
C10 Build a small emergency cushion if you can, even $200 to $500. Cars break down, phones crack, things happen, and a buffer keeps a bad week from turning into debt
C11 Be intentional with financial aid refunds. If your aid covers more than tuition and a refund check lands in your account, that's not free spending money

C12 It's meant to cover the rest of your cost of attendance for the semester, so treat it that way
P3 [MC] What's the best way to think about a financial aid refund check? (A) Free spending money for anything you want (B) Money meant to cover the rest of your cost of attendance ✓ (C) A bonus reward for good grades (D) Money you should invest immediately
C13 Avoid relying on credit cards to cover shortfalls without a plan to pay them off. Carrying a balance means paying interest on money you already spent, which just digs the hole deeper
P4 [DD] Sort into 'Good Habit' vs 'Budget Risk': Tracking spending weekly [Good Habit] · Ignoring subscriptions [Budget Risk] · Building a small emergency cushion [Good Habit] · Treating a refund check as free money [Budget Risk]
C14 Recap. Budget around your real income and fixed costs, track your spending, watch subscriptions and food delivery, build a small cushion, and treat aid refunds as purpose-built money, not free cash

Lesson 7: Repaying Your Student Loans

C1 Loans don't just disappear after graduation. It’s important to learn what happens before it's suddenly due
C2 Most federal loans have a grace period before payments start; usually 6 months after you graduate, drop below half time enrollment, or leave school
C3 During this grace period, unsubsidized loans still accrue interest, but you generally don't have to make payments yet. Use this time to set up your repayment plan, don’t procrastinate
P1 [T/F] Federal student loans typically have a 6-month grace period after graduation. [T] | Interest never accrues during the grace period. [F]
C4 You'll choose, or get defaulted into, a repayment plan. The Standard Plan splits your balance into fixed payments over 10 years
C5 Income driven plans base your payment on your income and family size instead, which can lower your monthly payment a lot if you're just starting out and not earning much yet
C6 The tradeoff is you'll likely pay more interest over time since the loan sticks around longer
P2 [MC] What determines your payment amount under an income-driven repayment plan? (A) Your GPA (B) Your income and family size ✓ (C) Your school's tuition rate (D) Your credit score
C7 There's also Public Service Loan Forgiveness for people who work full time in government or nonprofit jobs. After 10 years of qualifying payments, the remaining balance can be forgiven
C8 It sounds great, but the requirements are strict, so look into it early if that's a career path you're considering
C9 Missing payments can lead to default, which damages your credit score and can lead to wage garnishment
C10 If you're struggling, contact your loan servicer before you miss a payment. Options like deferment or forbearance exist for a reason
P3 [T/F] Public Service Loan Forgiveness can erase your remaining balance after 10 years of qualifying payments. [T] | You should wait until you're struggling badly before contacting your loan servicer. [F]
C11 Recap. Know your grace period, pick a repayment plan that fits your income, look into

forgiveness programs early if they apply to you, and never go silent if you're struggling, servicers have options, but only if you reach out.

Module 4: Taxes

Lesson 1: What Are Taxes?

C1 Taxes tend to stress people out and be described as scary. But they don't have to be, they just have to be understood

C2 First, let's admit it, we need taxes. We need to be able to fund roads, schools, first responders, government programs, and more.

C3 Although everyone knows we need taxes, there are constant debates about how much should be taxed. Our goal is to explain how the current system works. No bias, no politics, just information to get you feeling confident and get the most out of the laws in place.

C4 Let's start by getting on the same page. Tax is any money collected by the government. Remember, in the United States we have three governments that collect taxes: Federal, State, and Local(includes county and city).

C5 Sales tax is just one type. As you enter the working world, you'll encounter several others.

P1 [MC] What is the main purpose of taxes? (A) To penalize people for earning money (B) To fund the government and public services ✓ (C) To control how much people spend (D) To regulate bank accounts

C6 You'll encounter a lot of different taxes as a young adult such as: Income tax (federal and sometimes state) · Sales tax · Payroll taxes (Social Security and Medicare) · Property tax (if you own real estate) · Capital gains tax (if you sell investments for a profit)

C7 In this module, we'll focus on the taxes most relevant to you right now, the forms you'll deal with as an employee or freelancer, and what it means to "do your taxes."

C8 It's important to remember tax laws change. The specific numbers we use are up to date, but keep in mind within a couple of years what you learned might change slightly

Lesson 2: Payroll tax

C1 Payroll taxes get taken out of your paycheck to fund Social Security and Medicare. This is for the federal government so no matter what state you live in, you must pay this tax.

C2 It doesn't depend on how much you earn. Whether you are considered a low, middle, or high-income earner, everyone pays the same flat tax rate.

C3 Social Security tax is 6.2% of your wages, up to an annual income cap ($184,500 earned). This fund is what pays retired and disabled Americans their Social Security benefits

C4 Medicare tax is 1.45% of all your wages and has no income cap. This funds healthcare for Americans over 65

C5 These taxes come out of every paycheck automatically. You'll see them labeled on your pay stub as FICA taxes.

C6 In total, employees pay 7.65% of their gross pay (wage before deductions)

C7 What your employers actually give you is your net pay (money you take home)

C8 Earning $15.00 an hour means you will really only receive $13.85 for every hour you worked. Always remember this when creating budgets and planning purchases

C9 Key takeaway: gross pay (what you earn before deductions) is always higher than your net pay (what you actually take home). Know what hits your bank and budget accurately

P2 [T/F] Payroll taxes fund Social Security and Medicare. [T] | You should consider your bet pay when budgeting. [T] | Your gross pay and net pay are always the same amount. [F]

Lesson 3: Income tax

C1 You've heard of tax brackets — but what are they? Let's clear this up because it's one of the most misunderstood concepts in personal finance

C2 The US uses a progressive tax system for federal income tax. So higher income = higher tax rate

C3 But — and this is important — you don't pay the higher rate on ALL your income. Only on the portion that falls in that bracket.

C4 Think of it like a staircase. As your income climbs each step, only the income on that step gets taxed at that rate. Income from lower steps stays at lower rates

C5 The steps in 2025 were: 10% on income from $0–$11,925 · 12% on income from $11,926–$48,475 · 22% on income from $48,476–$103,350 · And so on up to 37% for the highest earners.

P1 [MC] In a progressive tax system, if your income puts you in the 22% bracket, you pay 22% on: (A) All of your income (B) Only the portion of income above the 22% threshold ✓ (C) None of your income (D) 22% of your tax return

C6 Let's do an example with simple numbers

C7 Imagine you earn $50,000 (after deductions, more on this later) per year. The first $12,000 is taxed at 10%. So you owe $1,200 for the first bracket

C8 The next $36,500 is taxed at 12%. So, you owe $4,380 for the 12% bracket ($12,000 - $48,500)

C9 The remaining $1,500 you earned is taxed at 22%. So you owe $330 for this last tax bracket you are in

C10 To find the total federal income tax you pay you just add up the amount from each bracket. In this case, this person would have to pay $5,910 of income tax on their $50,000

C11 You'll notice everyone pays a different percent of their total income because of how the bracket system works. This is called your effective tax rate

C12 Effective tax rate — average percentage of your income paid in taxes

C13 Your effective tax rate is lower than your marginal rate (the rate of your highest bracket)

C14 Yes, it seems like a lot. If you don't like the math, that's okay you'll never really calculate it yourself. But it's important to understand how it works to know why you're paying what you are

P2 [T/F] In a progressive tax system, earning more money means your entire income is taxed at a higher rate. [F] | Your effective tax rate is usually lower than your marginal tax rate. [T] | Florida has a state income tax. [F]

P3 [MC] What is your 'effective tax rate'? (A) The tax rate of your highest bracket (B) The average percentage of your income actually paid in taxes ✓ (C) The tax rate set by your state (D) The rate applied to bonuses

C15 To end it off with a little good news, Florida has no state income tax. So by living here, you only pay federal income tax on your earnings

Lesson 4: The W-4 Form

C1 When you start a new job, before you receive a single paycheck, you'll be asked to fill out a W-4. So what is this?

C2 The W-4 (Employee's Withholding Certificate) tells your employer how much federal income tax to withhold from each paycheck

C3 You're not paying taxes yet, you're just estimating how much you'll have to pay and setting it aside

C4 The amount taken from each paycheck is sent to the IRS as a prepayment of your annual tax bill. Think of it as paying taxes in quotas instead of a large payment at the end

C5 On the W-4, people can claim dependents (people who financially rely on you) and some other adjustments. Most people between the ages of 16-24 will not have to claim or adjust anything

C6 More claimed dependents -> less withheld from each paycheck -> higher take-home pay

C7 If too little is withheld from your paychecks, you might owe taxes at the end of the year instead of receiving a refund check

C8 It's important to remember the amount withheld is always an estimate. Always fill this out as accurately as possible to avoid confusion and penalties

C9 Being accurate usually means you get a refund check back every April when you're still young (because of deductions)

P1 [MC] What is the main purpose of the W-4 form? (A) To report how much you earned to the IRS (B) To tell your employer how much federal income tax to withhold from your paycheck ✓ (C) To apply for a tax refund (D) To file your annual taxes

C10 Most people starting their first job can just follow the standard instructions and not claim dependents. If you're a dependent on your parents' taxes (very common in high school/ college), there's a box to check for that

C11 Your W-4 is not set in stone. You can update it at any time even while working at the same place

C12 If your life changes and you get married, have a child, get a second job, or anything else, it's worth updating

C13 The biggest benefit in updating it is how you will feel when you go to do your taxes. If you didn't update it and too little was taken out of each paycheck, you will have to pay it all at once

C14 We're sure you agree getting money back always feels better than having to pay more, so make sure it's up to date

C15 You fill out a new W-4 for every employer. If you have two jobs, you need a W-4 on file at each

C16 Forgetting to fill one out can lead to complications when it is time to file taxes

P2 [T/F] You only fill out a W-4 once in your lifetime. [F] | Withholding too little throughout the year can mean you owe money at tax time. [T] | The W-4 is used to report your annual income. [F]

P3 [SA] True statements about the W-4: You fill it out when you start a new job [Y] · It tells your employer how much to withhold [Y] · It's the same form you use to file your taxes [N] · It can be updated if your life situation changes [Y] · It funds Medicare and Social Security [N]

Lesson 5: The W-2 Form (for Traditional Employees)

C1 It's the end of the year. Your employer has been withholding taxes from every paycheck (based on your W-4). Now comes the form that tells you (and the IRS) exactly what happened: the W-2

C2 The W-2 (Wage and Tax Statement) is a form your employer sends you every year by January 31st. If you don't have it by early February, tell your boss. You need this form

C3 It summarizes how much you earned and how much was withheld for federal income tax, state income tax, Social Security, and Medicare

C4 The W-2 is for employees only. If you're not on payroll, you're not getting this form

C5 Gig jobs, freelance, and contract work get a different form (the 1099)

P1 [MC] What does a W-2 form summarize? (A) Your monthly bank statements (B) Your investment gains and losses (C) Your annual wages and how much tax was withheld ✓ (D) Your expected tax refund

SKIP THIS C PAGE FOR NOW@MUHAMMAD[[[[C5 The key boxes on a W-2 to understand: Box 1 — Total taxable wages · Box 2 — Federal income tax withheld · Box 4 — Social Security tax withheld · Box 6 — Medicare tax withheld · Box 16/17 — State wages and state tax withheld]]]]]

C6 When you file your taxes, you'll plug the numbers from your W-2 into your tax return

C7 The IRS already has a copy of your W-2 (your employer sends one directly to them), so everything needs to match

C8 If you had multiple jobs, you'll receive a W-2 from each employer. You'll need all of them to file your taxes accurately

C9 Don't go file your taxes without a W-2. If you're on payroll, this is the most important document

P2 [T/F] Employers must send W-2 forms by January 31st. [T] | Freelancers and gig workers receive W-2 forms. [F] | The IRS receives a copy of your W-2 directly from your employer. [T]

P3 [MC] If you worked two jobs last year, how many W-2 forms should you receive? (A) One combined form (B) One from your primary job only (C) Two — one from each employer ✓ (D) None if you're under 25

Lesson 6: The 1099 Form(Non-traditional Employees)

C1 Not everyone earns a traditional paycheck. Freelancers, contractors, gig workers, and self-employed people get paid differently, and have a different tax form: the 1099.

C2 A 1099 form reports income you received outside of traditional employment. There are many 1099s, but the most common for young adults is the 1099-NEC (Non-Employee Compensation)

C3 The January 31st deadline is the same. Whoever paid you is required to send you a 1099-NEC if you earned $600 or more from that single company.

C4 The big difference from a W-2 job is no taxes were withheld. Since you aren't earning a scheduled, repeating payment, the government can't deduct anything from your paycheck

C5 But this also means you now owe taxes on all of it

C6 This catches a lot of first-time freelancers by surprise. Freelancing doesn't mean free of taxes

P1 [MC] Who typically receives a 1099-NEC form? (A) Full-time employees (B) Freelancers and independent contractors ✓ (C) Retirees (D) Bank account holders

C7 If you do a lot of reported (not cash side hustles) self-employed work, you have to make quarterly estimated tax payments throughout the year

C8 The IRS can charge penalties for delayed payments or underpayments if these are skipped.

C9 The four deadlines are on the 15th of each of these months: April, June, September, January

C10 If you noticed the months aren't evenly spread out, yeah, it's just like that

C11 Long story short it's done because of how the governments' fiscal (accounting) year is set up

C12 If you are worried about making these payments, don't worry there are "safe harbor" exceptions you probably qualify for while you're young

C13 If you owe less than $1,000, then the underpayment fee will be automatically waived. If you earn less than $6,500 in freelance work in a year, then you don't have to pay income taxes on it (still have to pay 15.3% for Social Security and Medicare)

C14 A good secret to note is people usually don't report all payments made in cash. Ever went to an auto body shop or somewhere that asked for cash?

C15 The discount you get is because they don't report the transaction as income. Legally, they have to. Realistically, it doesn't always happen

C16 No report, no taxes, more in their pocket. We're not saying this is right, but it does happen

P MC If you earn less than ___ in total by freelancing, you don't owe income tax on it. *$6,500 **C** ***$5,500 *$7,000 *$9,000

C17 Now the important part. What do you actually pay?

C18 Self-employed people must pay both the employee AND employer portions of Social Security and Medicare taxes -- 15.3%

C19 Regular income tax is charged as well. This is why many freelancers set aside 25–30% of every payment for taxes. Again, if you earn less than $6,500 in a year, don't worry about this

C20 $6,500 in a year is about $540 per month in freelance work alone. A regular, payroll job doesn't count towards this limit (they use W-2s)

C21 Other types of 1099 forms you might see: 1099-INT — interest income from a bank · 1099-DIV — dividend income from investments · 1099-K — payments through platforms like PayPal, Venmo, or Etsy if you hit certain thresholds

C22 These other forms exist and while they are used, the 1099-NEC is the most common for young adults. We'll explain the rest in another lesson

C23 For now, just know if you earned over $6,500 (before deductions) in a calendar year for freelance work, you're susceptible to paying taxes on it

P2 [T/F] If you receive a 1099, taxes were already withheld for you. [F] | Self-employed individuals may need to make quarterly tax payments. [T] | You only receive a 1099-NEC if you earned at least $600 from a company. [T]

P3 [SA] Which of the following might receive a 1099 form? A full-time salaried employee [N] · A freelance graphic designer [Y] · A rideshare driver [Y] · A small business owner paid by clients [Y] · Someone who earned interest from a savings account [Y — 1099-INT]

Lesson 6: The 1040 Form — Filing Your Taxes

C1 April 15th. That's the date burned into every American adult's brain. It's the deadline to file your federal tax return — which is submitted using the 1040 form.

C2 The 1040 Form is the main federal tax return form. This is where everything comes together: your income (from W-2s, 1099s, etc.), deductions, and credits — all calculated together

C3 This is all it really means to file or do your taxes. Just put all the loose pieces together and send it to the government using this form

C3 You might have to pay more or you might get a refund.

C4 A refund means you overpaid throughout the year and the government is returning the difference

C5 You owe money if you underpaid throughout the year and have a balance. Neither outcome is "wrong," it's all about getting the numbers right

C6 Most people don't actually fill out the 1040 by hand. They use tax software (TurboTax, H&R Block, FreeTaxUSA) or a tax professional. But understanding what the form is helps you make smarter decisions throughout the year

P1 [MC] What is the 1040 used for? (A) Reporting your savings account balance (B) Telling your employer how much to withhold (C) Filing your annual federal income tax return ✓ (D) Applying for government benefits

C7 You don't have to memorize the next part, but it's good to get an idea

C8 Key concepts on the 1040: Gross Income — total income before anything is taken out · Adjusted Gross Income (AGI) — income after specific deductions · Taxable Income — AGI minus standard or itemized deductions · Tax owed — calculated from your taxable income using tax brackets

C9 Free options exist for filing your taxes. The IRS Free File program allows people below a certain income threshold to file for free using partnered software

C10 Many young adults with simple tax situations qualify, but talk with your parents in case you are being listed as a dependent still. You could be a dependent until 19 years old or 24 if you are a full-time student

C11 The deadline to file is April 15. If you need more time, you can file for an extension — but note that an extension to file is NOT an extension to pay. If you owe taxes, you still need to pay by April 15 to avoid penalties.

P2 [T/F] A tax refund means you made a mistake on your taxes. [F] | You can file for an extension to both file and pay your taxes later. [F] | Many young adults with simple tax situations can file for free. [T]

P3 [MT] Match: Gross income → Total income before any deductions | Taxable income → What you're actually taxed on | Tax refund → Government returns money you overpaid | April 15 → Federal tax filing deadline | 1040 → Main federal tax return form

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Lesson 7: Tax Forms Recap

C1 Let's do a quick review of all the forms we've covered. Tax season throws a lot of paperwork at you — but if you know what each form does, it's way less overwhelming.

C2 W-4 — filled out when you start a job. Tells your employer how much to withhold. You control this one.

C3 W-2 — sent by your employer every January. Summarizes your annual wages and what was withheld. You need this to file your taxes.

C4 1099-NEC — sent by clients or companies if you earned $600+ as a freelancer or contractor. No withholding — you owe taxes on this income yourself.

C5 1040 — the main tax return form you (or your software/accountant) submit by April 15. Pulls everything together.

P1 [MT] Match each form to its purpose: W-4 → Tells employer how much to withhold | W-2 → Employer's summary of your annual wages | 1099-NEC → Reports freelance or contractor income | 1040 → Annual federal tax return

P2 [MC] Which form do you need to file your federal taxes? (A) W-4 (B) 1099 (C) W-2 (D) 1040 ✓

C6 Who sends what: Your employer sends your W-2 (by Jan 31) · Your client/company sends your 1099 (by Jan 31) · You submit your 1040 to the IRS (by April 15) · You fill out a W-4 and give it to your employer

P3 [SA] Which of the following are sent TO you by someone else? W-4 [N — you fill this out] · W-2 [Y — from your employer] · 1099 [Y — from your client] · 1040 [N — you submit this to the IRS]

Lesson 9: Deductions — Reducing What You Owe

C1 Here's one of the most valuable concepts in taxes: deductions. A deduction reduces your taxable income — meaning you're taxed on less money. It's not free money, but it's a very real financial advantage.

C2 Remember this formula: Income – Deductions = Taxable Income. The lower your taxable income, the less tax you owe. Deductions are the government's way of saying 'we won't tax you on money spent for these specific purposes.'

C3 There are two ways to deduct: standard deduction or itemized deductions. You choose one or the other — whichever gives you the bigger benefit.

C4 Standard deduction — a flat dollar amount everyone can deduct, no receipts required. For 2024: $14,600 for single filers, $29,200 for married filing jointly. Most people — especially young adults — take the standard deduction.

P1 [MC] If you earn $40,000 and take a $14,600 standard deduction, what is your taxable income? (A) $40,000 (B) $14,600 (C) $25,400 ✓ (D) $54,600

C5 Itemized deductions — instead of the flat amount, you list out specific expenses you can deduct. Examples include: mortgage interest, charitable donations, state and local taxes (up to $10,000), and large medical expenses.

C6 You only itemize if your eligible expenses add up to more than the standard deduction. For most young adults without a mortgage or major medical bills, the standard deduction is almost always better.

C7 Above-the-line deductions (also called adjustments) — these can be taken even if you use the standard deduction. Examples: student loan interest, contributions to a traditional IRA, health savings account (HSA) contributions, and teacher classroom expenses.

P2 [SA] Which of the following might qualify as an itemized deduction? Mortgage interest [Y] · Grocery purchases [N] · Charitable donations [Y] · Netflix subscription [N] · Large out-of-pocket medical expenses [Y]

P3 [T/F] You can take both the standard deduction AND itemize deductions in the same year. [F] | Student loan interest is a deduction you can take even if you use the standard deduction. [T] | Most young adults benefit more from itemizing than taking the standard deduction. [F]

P4 [MC] For most young adults, which deduction method makes the most sense? (A) Itemized deductions (B) Standard deduction ✓ (C) They're always the same (D) Neither — young adults can't deduct

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Lesson 10: Tax Credits vs Deductions

C1 Deductions reduce your taxable income. But tax credits are even better — they reduce your actual tax bill dollar for dollar. Let's break down the difference.

C2 Deduction example: You have $25,400 in taxable income. A $1,000 deduction brings it to $24,400. If you're in the 12% bracket, that saves you $120.

C3 Credit example: You owe $1,500 in taxes. A $1,000 credit brings your bill to $500. You just saved $1,000 — the full amount, regardless of your bracket.

C4 Credits are more powerful because they reduce what you actually owe — not just what you're taxed on.

P1 [MC] Which reduces your tax bill more directly? (A) A tax deduction (B) A tax credit ✓ (C) They're the same thing (D) Neither

C5 Common tax credits: American Opportunity Credit — up to $2,500/year for the first 4 years of college · Lifetime Learning Credit — up to $2,000/year for education expenses · Earned

Income Tax Credit (EITC) — for low-to-moderate income workers · Child Tax Credit — for parents with dependent children

C6 Refundable vs Non-refundable credits: Non-refundable — can reduce your tax bill to zero, but you don't get the leftover back. Refundable — if the credit is more than you owe, you get the difference back as a refund. The EITC is a well-known refundable credit.

C7 If you're in college or recently graduated, the American Opportunity Credit and Lifetime Learning Credit are worth looking into. They can significantly reduce your tax bill or even create a refund.

P2 [T/F] A tax credit reduces your taxable income. [F] | A refundable credit can result in a refund even if you owe no taxes. [T] | The American Opportunity Credit applies to college education expenses. [T]

P3 [SA] Which of the following are refundable tax credits? Standard deduction [N — not a credit] · Earned Income Tax Credit [Y] · American Opportunity Credit (partially) [Y] · Mortgage interest deduction [N — not a credit]

Lesson 11: Sales Tax

C1 You have probably seen sales tax at the register. Here is a closer look at how it works.

C2 Sales tax is not charged by the federal government. Each state and county can set their own rate. Even neighboring counties can pay different tax

C3 Florida has a state sales tax of 6%. You also have an extra sales tax for your local government. For example, Miami-Dade county adds another 1%, making it 7% total. Someone in a different county might pay 6.5% or 7.5% on each purchase.

C4 It might not seem like a lot, but it does add up. Always think of sales tax when buying something, especially expensive things

C5 It can add a noticeable cost to your budget after a couple of purchases

C6 You may have noticed that not everything you buy gets hit with a sales tax. This wasn’t a mistake. While most things do get taxed, there are a lot of items that don’t.

C7 Groceries, prescription drugs, feminine hygiene products, and many medical items are often exempt from sales tax. Some states also exempt clothing (not Florida). When you buy these, you only pay what is on the price tag.

Module 5: Types of Accounts

Every lesson covers: what the account is, who it's for, and when/why to use it.

Lesson 1: Checking Accounts — What They Are

C1 Let's start with the most basic account: the checking account. If you only have one financial account, this is probably it.

C2 A checking account is used for everyday spending. Think of it as your financial home base

C3 money comes in, money goes out, and you manage it day to day.

C4 Its common uses are paying bills, making debit card purchases, transferring money, and linking direct deposit

C5 Direct deposit is when your employer sends your paycheck straight into your bank account electronically — no paper check, no trip to the bank

P1 [SA] What are checking accounts commonly used for? Everyday spending [Y] · Long-term investing [N] · Paying bills [Y] · Receiving your paycheck [Y] · Earning high interest [N]

C6 Checking accounts are the most liquid type of bank account — meaning you can access your money almost instantly. Swipe a card, tap your phone, send a transfer. Done.

C7 Think of your checking account as your financial hub. It's where most of your income lands before going everywhere else like savings, subscriptions, food, and more.

C8 Most people only need one checking account, especially when starting out. Having multiple can get complicated fast

P2 [MC] What makes a checking account 'liquid'? (A) It earns a lot of interest (B) It can be accessed and used almost instantly ✓ (C) It's connected to investments (D) It has no fees

P3 [T/F] A checking account is a good place to store all your money long-term. [F] | Checking accounts are used for everyday spending and money flow. [T] | Most people need three or more checking accounts. [F]

Lesson 2: Checking Accounts — Fees to Know

C1 Checking accounts are super useful, but they can come with fees. The good news is most fees are avoidable once you know what to look out for

C2 Overdraft Fee — this happens when you spend more than what's in your account.

C3 For example, if you have $20 and swipe your card for $40. The bank may cover it then charge you a fee (often $25–$35) for going negative

C4 So you would have to pay the $20 you’re missing and the fee on top of that.

C5 You can turn overdraft protection off in most bank apps, so that any transaction that would overdraft your account is just declined instead. You should set this up to avoid fees

C6 Next fee is monthly maintenance fee

C7 Some banks charge a flat fee just for having a checking account. If you’re a student only open an account where you don’t pay this fee

C8 Banks waive this fee for students if you set up direct deposit, or maintain a minimum balance, depending on the bank

P1 [MC] You have $30 in your checking account and accidentally charge $50 to your debit card. What fee might you be charged? (A) ATM fee (B) Foreign transaction fee (C) Overdraft fee ✓ (D) Monthly maintenance fee

C9 The ATM Fee is simple

C10 Banks operate in ATM networks. Using your own bank's ATM is free. Using a random ATM at a gas station or mall will almost never be free.

C11 You might get charged by that ATM AND your own bank so always try using your bank's ATMs

C12 Foreign Transaction Fee — using your debit card in another country usually adds a 1%–3% fee to every transaction

C13 The reason we get charged is banks have to convert the US dollars to the local currency. The conversion rate is usually good, so don't worry about that. Just know many debit cards charge foreign transactions fees

C14 Paper Statement Fee — A bank statement is an official summary of all the financial transactions in an account each month

C15 Some banks charge you for mailing a paper copy. Just go paperless

C16 Digital statements are not charged the mailing fee and it's also easier to access from anywhere

P2 [M]: Match the name of the fee with why you would pay it. Overdraft fee [Spend more than what is in your checking account] · Monthly maintenance fee [Doesn't reach requirement to have a free account] · ATM fee [Using an ATM out of your bank's network] · Foreign transaction fee [Using your debit card in another country]

P3 MC Which situation would likely trigger an overdraft fee? *Using your own bank's ATM *Receiving direct deposit *C - Spending more money than you have in your checking account

P4[T/F] Using an out-of-network ATM can result in fees from both the ATM and your bank. [T] | You can never avoid overdraft fees. [F] | Going paperless can eliminate the paper statement fee. [T]

Lesson 3: Checking Accounts — Opening One & Optimizing It

C1 Opening a checking account is one of the easiest and most important financial steps you can take. Let's walk through what you need

C2 Requirements: You must be 18+ years to open one by yourself. You'll need an ID, your SSN or ITIN, basic personal info, and a small opening deposit (varies by bank — sometimes $0).

C3 If you're under 18, you can still have a checking account — but it needs a joint owner (usually a parent or guardian) who is legally on the account with you.

P1 [MC] What is required to open a checking account on your own? (A) A co-signer and $500 (B) You must be 18+, have a government ID, and an SSN or ITIN ✓ (C) A credit score of 700+ (D) A minimum of $1,000 to deposit

C4 Having one is step one, using it properly is the next step

C5 First, don't keep all your money here. Checking accounts earn almost zero interest, so money sitting here isn't working for you.

C6 Keep enough in your checking account to cover your regular monthly expenses plus a little just in case

C7 You will learn about different types of accounts and decide for yourself where you want to store the rest. Common places are in savings accounts or stocks

C8 Fraud awareness: because checking accounts involve real, immediate cash, they're a bigger target than credit cards

C9 If your debit card info is stolen, that money is gone fast and it's hard to recover. Credit card fraud is easier to dispute(get your money back).

C10 Some good practices are to turn on account notifications for every transaction, use your bank's official app, and never share your PIN or banking login with anyone.

C11 It can get stolen anywhere at any time, so always be checking your transactions

P2 [SA] Good habits for managing a checking account: Turn on transaction notifications [Y] · Store all your savings here [N] · Use your bank's official ATMs [Y] · Share your PIN with trusted friends [N] · Keep a small buffer above your monthly expenses [Y]

P3 [T/F] Checking accounts earn high interest rates. [F] | Debit card fraud is harder to resolve than credit card fraud. [T] | A minor can open a checking account if a joint owner is added. [T]

P4 [MT] Match the requirement to open a checking account: Age requirement → Must be 18+ | If under 18 → Need a joint owner | ID needed → Government-issued ID | Tax ID needed → SSN or ITIN

Lesson 4: Youth Accounts(For people under 18)

C1 If you are under 18 and want to begin managing your money, this lesson is for you. There are many options available for minors to learn how to manage their money responsibly.

C2 A lot of banks offer teen checking accounts for minors. These accounts have a parent or guardian oversee the permissions and transactions.

C3 How much is restricted depends on the bank and what your parent or guardian allows. The adult will have the power to lock the card, set limits on spending, block specific stores, and more

C4 The goal of this is to ensure that kids and teenagers don't fall into a spending trap without understanding what they are doing. It offers a good way to practice managing cash flow

C5 While many teenagers are mature enough to control their spending habits, others are not. If an adult believes their minor is responsible enough, they can turn off all controls

C6 If that is done, the only difference between a normal checking account and a youth checking account would be that the parent also has access to the bank account and the ability to lock it whenever needed.

C7 Keep in mind, while most banks allow all restrictions to be turned off, not all of them do. Talk with your guardian first

C8 If they believe you are ready for no restrictions, double check which banks allow you to do this (we don't want to add bias by listing them here)

P1 [T/F] A teen checking account can be opened with a parent or guardian[T] Both the adult and minor have equal control over the account[F] All teen checking accounts have the same restrictions[F]

C9 What is best for each person depends largely on their financial situation, impulse control, and how much a parent is on top of their child

C10 Remember, checking accounts are not great for savings because of the low interest rates. You can earn more by storing untouched money in a different account

C11 Finally, while teen checking accounts are the most common, there are other fintech(financial technology) platforms that also offer accounts for minors. However, these are usually up to the parents to set up, so if you don't have one yet don't worry about these.

C12 Small note: for minors who do not have a legal parent or guardian, you can go through a process of legal emancipation where the court legally declares you an adult and you can start taking control of your finances.(put in smaller font under the sentence)

C13 To recap, *Teen checking accounts do exist but need a parent or guardian to co-own the account *There are restrictions on the account but depending on the bank and what the adult wants to do, they can be lifted *Other than the restrictions and co-owner, it is a normal checking account, meaning it shouldn't be used for savings

Lesson 5: Student Accounts(For ages 17-24)

C1 Banks want to earn your loyalty early, so they create accounts designed specifically for students. However, there is common confusion around them

C2 You do NOT need to be a student to open a student checking account. Kind of silly right?

C3 The only requirement banks have for student accounts is being between the ages of 17-24(a few banks also allow 17 yr olds)

C4 Student checking and savings accounts typically come with: no monthly maintenance fees, lower or no minimum balance requirements, and sometimes even small rewards for good account habits.

C5 Many student accounts are temporary and convert to standard accounts when you reach a certain age (usually 24–26)

C6 When that happens, new fees may kick in. It's important to note that different banks will have different fees.

C7 These accounts are a great starting point. The application process is simple and doesn't require much money to open

C8 Most can be opened entirely online and nearly instant

C9 Although they're really easy to open, having too many can get confusing fast

C10 Remember, a checking account is your financial hub. It is where your income first gets deposited before distributing to expenses, savings, and more

P1 [MC] What is a main benefit of student accounts? (A) They earn the highest interest rates (B) They typically have fewer fees and lower requirements ✓ (C) They come with a credit card automatically (D) They are permanent accounts that never change

C11 Even if you have a student checking account, all the same rules apply: don't overdraft, monitor your balance, don't store all your money here, and protect your account from fraud.

C12 In case you're wondering, yes we explain student credit cards as well. Go to credit module for that

P2 [T/F] Student accounts usually have no monthly fees. [T] | Student accounts are permanent and never change as you get older. [F] | You should still monitor a student account for fraud. [T]

P3 [DD] Student checking account- *No monthly maintenance fee *18-24 age requirement to open *Will change into a new account after a certain age

Normal checking account – *18+ age requirement to open *Can have maintenance fees and minimum balance requirements

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Lesson 6: Savings Accounts — What They Are

C1 While a checking account is for everyday spending, savings accounts are for the money you don't want to spend.

C2 The key difference between checking accounts and savings is you earn more interest on a savings account.

C3 Interest on a savings account is usually low. It's anywhere from 0.01% to around 0.5% at most big traditional banks. But it's still more than the zero you'd earn in a checking account.

C4 Savings accounts are FDIC insured up to $250,000 per account. That means if the bank fails, the government guarantees your money back. It's essentially risk-free up to $250,000 per account.

C5 Yes, a bank can fail and go bankrupt. While it is super unlikely to happen, there is a chance and our government protects us from it.

P1 [MC] What is a major benefit of a savings account over a checking account? (A) You can spend directly from it with a debit card (B) It earns higher interest ✓ (C) It has no fees of any kind (D) It processes payments faster

C6 The most powerful use of a savings account is building an emergency fund. Financial experts recommend having 3–6 months of living expenses saved up. This is your financial safety net.

C7 This safety net is because life happens. You can lose your job, your car breaks down, a medical bill shows up, or any other expense

C8 An emergency fund means you can handle it without going into debt. This is one of the most important things you can build

C9 Always remember going into debt means you're stuck paying interest.

P2 [T/F] FDIC insurance protects savings accounts up to $250,000. [T] | Savings accounts earn more interest than high-yield savings accounts. [F] | You should use a savings account for daily purchases. [F]

P3 [MC] What is an emergency fund? (A) A retirement account (B) Money set aside for planned purchases (C) 3–6 months of living expenses saved for unexpected situations ✓ (D) A type of insurance policy

C10 Think of your checking account as your 'spending money' and your savings account as your 'don't touch it unless necessary' money. Both are important — they just serve different purposes.

P4 [DD] Sort into 'Checking Account' vs 'Savings Account': Everyday spending [Checking] · Emergency fund [Savings] · Paying bills [Checking] · Money you're not spending soon [Savings] · Direct deposit goes here first [Checking]

Lesson 7: High-Yield Savings Accounts

C1 A high-yield savings account(HYSA) is like a savings account but has a higher interest rate. The money deposited in this account grows based on the APY

C2 The annual percentage yield (APY) can be anywhere from 10x to 50x what a traditional savings account pays

C3 And because it is still a savings account, it is also FDIC insured.

C4 The catch is they aren't as convenient as normal savings accounts. There are usually no physical branches for banks that offer high-yield savings

C5 Another drawback is their liquidity (how fast you can access your money)

C6 Withdrawals can take up to 3 business days. So if you need money quick in case of an emergency, you cannot rely on a high-yield savings account, at least not for same day expenses.

C7 Banks don't delay withdrawals just because they feel like it. They use your money and have professionals and algorithms invest with it

C8 That is why they can guarantee higher returns. Unfortunately for us, that does mean we have to wait a couple of days until they pull the money out and it lands in our checking account.

P1 [MC] What is the main advantage of a high-yield savings account over a regular savings account? (A) You can spend from it with a debit card (B) It earns a much higher interest rate ✓ (C) It has zero fees ever (D) Your money is available faster

P2 SA: Both high-yield savings accounts and normal savings accounts *COffer interest on money deposited *Will always have physical locations *CAre FDIC insured *CAre not used for everyday spending

C9 Like a lot of other accounts, there is a minimum balance. Depending on your account, there may also be a limited number of withdrawals in a set time

C10 This limits withdrawal transactions, not the amount of money being withdrawn

C11 Basically, a HYSA is a regular savings account that takes longer for transactions, but in doing so you earn significantly more

C12 A common APY for these high yield savings accounts is anywhere from 2.75% to 4% (and sometimes even more), depending on the economy and choice of bank.

C13 Remember, the APY is the percent in a year. If someone deposits $100 in a high yield savings account offering 3% APY, the money does not grow by 3% each month

C14 It would grow by 3%/12 (rate/months in a year) each month. Due to compound interest, your account would earn slightly more than 3% in a year

C15 Review: *Both high-yield and normal savings accounts are FDIC insured, meaning risk-free up to $250,000 *High-yield savings accounts offer much higher returns but take longer to withdraw money *Normal savings accounts are more convenient due to physical locations, quick transfers, and less restrictions

P3 MC: High-yield savings transactions (both withdrawals and deposits) *can take up to 3 business days to processC *process instantly *can take a week to process

P4 ToF: High-yield savings involve risk for accounts less than $250,000F *9% APY is common for high-yield savings accountsF *You can link your checking account to a high-yield savings account regardless of what bank each account is withT

P5 DD: High-yield savings accounts: Tends to limit withdrawal transactions / Offers higher APY / Takes up to 3 days to withdraw and deposit money / Can have a minimum account balance *Normal savings account: Convenient physical locations / Instant transactions / No minimum balance

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Lesson 8: Certificates of Deposit (CDs)

C1 A Certificate of Deposit (CD) is a type of savings account that locks away your money for a set period of time, called the term

C2 In return, banks pay you interest

C3 A term can range from a few months to several years. When you open a CD, you agree not to withdraw your money until the term ends, or you may face penalties

C4 How it works: *You deposit a fixed amount of money into the CD

C5 *The bank pays interest over the term, often at a higher rate than a standard savings account

C6 *At the end of the term, called maturity, you can withdraw your original deposit plus the interest earned

C7 These accounts offer guaranteed returns, so you will know exactly how much you will earn in the set period of time. The biggest difference between this and a high-yield savings account is that CDs lock your interest rate (APY) instead of having it change like in a HYSA

P1 MC Removing your deposit before allowing the CD to reach maturity will likely cause *higher interest *penaltiesC *guaranteed returns

P2 MC Terms can last anywhere from ___ *a couple weeks to a month *Only 3+ years *A month to many yearsC

C8 CDs are great for money you know you will not need soon. Longer-term CDs generally pay higher rates but lock your money up for longer

C9 They are an excellent way to save for planned purchases such as a car or vacation.

C10 Possible terms: *Short-term CDs: 1–6 months *Medium-term CDs: 6 months – 2 years *Long-term CDs: 2–5 years (sometimes even up to 10 years at certain banks)

C11 It is important to remember that interest rates vary by term length and bank, so shop around when looking to open one

C12 Your bank history can also affect the interest offered to you. Many banks and credit unions often have special interest rates for long-term clients

C13 The most common CD offered by banks is the traditional CD. It has a fixed term and interest rate. These tend to have the "standard" rates, terms, and minimum deposits

C14 However, there are a few different CD accounts to fit different needs

C15 *Bump-up CD: Allows you to increase the interest rate once during the term if rates go up *No-penalty CD: Lets you withdraw early without a penalty, but usually has lower rates *Jumbo CD: Requires a larger minimum deposit, often earns higher interest

C16 To recap, CDs lock away your money and earn you interest. It is a form of guaranteed investing with money you will not need soon. While they earn more interest than other accounts, they are less flexible

P2 [T/F] Withdrawing from a CD before it matures usually results in a penalty. [T] | Longer CD terms always earn lower interest rates. [F] | CDs are FDIC insured. [T]

P3 [MC] Which type of CD lets you withdraw early without a penalty? (A) Jumbo CD (B) Traditional CD (C) Bump-up CD (D) No-penalty CD ✓

P4 [DD] Sort into 'Good for CDs' vs 'Not Ideal for CDs': Money you won't need for 1+ years [Good] · Your emergency fund [Not Ideal] · Saving for a specific future purchase [Good] · Money you might need next week [Not Ideal]

Lesson 9: Custodial Accounts

C1 What if someone under 18 wants to start building wealth early? That's where custodial accounts come in.

C2 A custodial account is opened and managed by an adult (the custodian) on behalf of a minor. The adult makes all the financial decisions — but the account legally belongs to the child.

C3 Once the minor reaches the age of majority (typically 18 or 21 depending on the state), they gain full control of the account and everything in it.

C4 Custodial accounts are great for two things: teaching financial habits early in a real-world setting, and saving or investing money for a child's future.

P1 [T/F] A custodial account is legally owned by the adult managing it. [F] | The minor gains full control of a custodial account once they reach adulthood. [T]

C5 The most common types are UGMA (Uniform Gifts to Minors Act) and UTMA (Uniform Transfers to Minors Act) accounts. These allow adults to put money — and sometimes other assets — into an account for a child without setting up a formal trust.

C6 Unlike a 529 college savings plan, which can only be used for education, UGMA/UTMA accounts can be used for anything once the child comes of age. This flexibility is a major advantage.

C7 If you're a young adult reading this — someone might have already set one of these up for you. It's worth asking your parents or guardians. It could already have money in it with your name on it.

P2 [MC] What happens to a custodial account when the minor reaches adulthood? (A) The custodian keeps managing it (B) The bank absorbs the funds (C) The minor gains full control ✓ (D) The account is automatically closed

P3 [SA] Which of the following are true about custodial accounts? They are legally owned by the minor [Y] · They can only be used for college expenses [N] · They are managed by an adult until the child comes of age [Y] · UGMA and UTMA are common types [Y] · The adult keeps the money forever [N]

Lesson 10: Individual Retirement Accounts (IRAs) — Part 1

C1 This might feel early to think about, but this is exactly when you should start learning about retirement accounts. The younger you start, the bigger the payoff.

C2 An IRA (Individual Retirement Account) is a special type of account designed to help you save for retirement. They change the game due to tax advantages

C3 The benefits are great, but there are rules about how much you can deposit per year and when you can take money out

C4 Generally, you can't withdraw money from an IRA before age 59½ without paying a penalty. This is intentional — it's a 'hands off until retirement' type of account.

P1 [MC] What makes IRAs different from regular savings accounts? (A) IRAs have higher interest rates (B) IRAs are protected by the government (C) IRAs offer tax advantages for long-term retirement saving ✓ (D) IRAs can be used for any purchase

C5 Why does this matter when you're young? Because of compound interest. Always look to use interest for you not against you

C6 Even contributing a small amount early is better than waiting. Time in the market matters more than timing the market — a concept we'll explore further in the Investing module.

C7 There are two main types of IRAs: the Roth IRA and the Traditional IRA. They both help you save for retirement — but they handle taxes differently

P2 [T/F] You can withdraw from an IRA at any time without consequences. [F] | Starting retirement savings earlier leads to significantly more money at retirement. [T] | IRAs are only for people close to retirement age. [F]

Lesson 11: IRAs — Part 2 (Roth vs Traditional vs 401k)

C1 Let's break down the two main IRA types and how they compare to a 401k

C2 Roth IRA — you contribute money you've already paid taxes on. Your money grows tax-free. And when you withdraw in retirement, you pay zero taxes on it

C3 Traditional IRA — you contribute pre-tax money (which lowers your taxable income now). Your money grows, but you pay taxes when you withdraw in retirement. You're delaying taxes to the future.

C4 Which is better depends on your situation. If you expect to be in a higher tax bracket in retirement, Roth is usually better. If you expect to be in a lower or equal bracket, Traditional might make more sense

C5 For most young adults, a Roth IRA tends to be a better starting point

P1 [MC] With a Roth IRA, when do you pay taxes? (A) When you withdraw in retirement (B) Never (C) When you contribute the money ✓ (D) Every year you hold the account

P2 [MC] With a Traditional IRA, when do you pay taxes? (A) When you contribute (B) When you withdraw in retirement ✓ (C) Every 5 years (D) Never

C6 Both Roth and Traditional IRAs have an annual contribution limit (max you can deposit)

C7 You cannot deposit more than you earned that calendar year and there is a cap at a little over $7,000 for anyone under 50 years old

C8 So, if you earned more than $7,000, this is your limit

C9 You can contribute to both types if you want, but the combined total can't exceed the limit

C10 Next is the 401k

C11 This is a retirement account offered by your employer. Unlike an IRA (which you open yourself), a 401k is set up through your job

C12 The cool part about this is many employers match a portion of what you contribute

C12 Quick example: Your employer offers a 3% match. If you earn $50,000 and contribute 3% ($1,500), your employer adds another $1,500. That's an instant 100% return on that money.

C13 Always contribute at least enough to get the full employer match, past that is up to you

C14 The contribution limit is $24,500 for people under 50 and just like IRAs, it cannot be more than your income

P3 [SA] What are true statements about a 401k? It's set up through your employer [Y] · You open it at any bank on your own [N] · Many employers match a portion of your contributions [Y] · It has the same tax rules as a savings account [N] · Employer match is essentially free money [Y]

P4 [MT] Match: Roth IRA → Pay taxes now, withdraw tax-free | Traditional IRA → Contribute pre-tax, pay taxes when withdrawing | 401k → Employer-sponsored, often includes an employer match

C15 You don't need to have this all figured out today. The point is to know these accounts exist, understand the basics, and start as soon as you have income you don't spend. Even $20/month makes a huge difference.

Lesson 12: Account Comparison & When to Use What

C1 By now you've learned about a lot of different account types. Let's bring it all together. In real life, most people use a combination of these accounts — not just one.

C2 A typical financial setup might look like this: one checking account for everyday spending → one regular or high-yield savings account for your emergency fund → one HYSA or CD for specific savings goals → a Roth IRA for retirement.

C3 That sounds like a lot — but you don't build this overnight. The point is to know where you're headed and set things up gradually as your income grows.

C4 The right account for the right job: don't put your emergency fund in a CD (locked up)

C5 Don't keep your retirement savings in a checking account (earning nothing)

C6 And don't invest money in the stock market that you need next month.

P1 [MC] Where should your emergency funds ideally be stored? (A) A CD (B) A Roth IRA (C) An accessible savings or high-yield savings account ✓ (D) Invested in stocks

P2 [MT] Match the account to its best use: Checking → Daily spending and bill pay | Regular savings → Emergency fund | High-yield savings → Long-term savings goals with better returns | CD → Money you won't need for a set period | Roth IRA → Long-term retirement savings

C7 As your financial life grows, so does your account strategy. What works at 18 won't be the same setup at 30. The goal is to always understand what each account is doing for you and why

@@@@MUHAMMAD C6 DON'T INCLUDE FOR NOW A quick note on credit unions: everything we've discussed applies to banks. Credit unions are member-owned alternatives to banks that often offer lower fees, better rates, and more personalized service. Worth researching as an option.

P3 [SA] Which accounts are FDIC insured? Checking account [Y] · Savings account [Y] · High-yield savings account [Y] · CD [Y] · Roth IRA [N — IRAs are not FDIC insured, they're investment accounts]

P4 [DD] Sort into 'High Liquidity' vs 'Low Liquidity': Checking account [High] · Regular savings account [High] · CD [Low] · High-yield savings account [Medium-Low] · Roth IRA [Low]

Lesson 13: Credit Card Accounts

C1 Credit cards get a bad reputation, but that's usually because people use them without understanding how they work

C2 Used correctly, a credit card is one of the most powerful financial tools you can have.

C3 A credit card is not like a debit card. When you swipe a credit card, you are NOT spending your own money. You're borrowing money from the bank and agreeing to pay it back

C4 Every month, your credit card sends you a bill called a statement. This is your monthly summary of charges, payments, and balance

C5 Your balance is just what you owe

C6 A great rule of thumb is always pay the full balance. As long as you are managing your cash flow well, pay your balance

C7 If you don't pay the full balance, the remaining amount gets charged with interest. And credit card interest rates (APR) are high. We're talking 20%–30% on average. This is how credit card debt spirals.

P1 [T/F] When you use a credit card, you're spending money directly from your bank account. [F] | Paying only the minimum payment on a credit card leads to interest charges. [T] | Credit card APRs are typically low (under 5%). [F]

C8 So why use one at all? Because when used responsibly, credit cards build your credit score, offer rewards (cashback, travel points), provide fraud protection, and can be useful in emergencies.

C9 Your credit score is a number (between 300–850) that represents how trustworthy you are as a borrower

C10 A higher score means better loan rates, easier approvals, and more financial options. Credit cards used responsibly are one of the fastest ways to build credit.

C11 The next big thing is fraud protection. If your credit card number is stolen, you're not liable for fraudulent charges.

C12 You just dispute them and the bank handles it. With a debit card, that money is gone from your account instantly and is very hard to recover

P2 [MC] What is the best way to handle your credit card balance each month? (A) Pay the minimum amount (B) Ignore it until the bank calls (C) Pay off the full balance ✓ (D) Pay half and carry the rest

P3 [SA] Benefits of using a credit card responsibly: Builds your credit score [Y] · Charges you high interest automatically [N] · Offers fraud protection [Y] · Earns rewards like cashback or points [Y] · Always leads to debt [N]

C13 Credit cards require discipline. If you're not ready to pay your balance in full every month, it's okay to wait until you are. The goal is to make the card work for you — not the other way around. We dive deeper into credit in the Credit module.

Lesson 14: Joint Accounts

C2 A joint account is a bank account co-owned by two or more people. Everyone on the account has full access — they can deposit, withdraw, and manage funds freely.

C3 Joint accounts are common among couples managing shared expenses, family members supporting each other, and roommates splitting bills like rent and utilities.

C4 The big thing to understand: a joint account requires complete trust. Both owners are equally responsible for the account. If one person overdrafts it, both people feel the consequences.

C4 As a minor, a parent or guardian can open one with you and not have to look

P1 [MC] Which situation is a joint account most useful for? (A) Building a personal retirement fund (B) Keeping your savings private (C) Splitting shared expenses with a roommate or partner ✓ (D) Earning the highest possible interest

C5 A popular setup for couples is the '3-account system': each person keeps their own checking account for personal spending, and they share one joint account for household expenses like rent, groceries, and bills.

C6 This way, both people have visibility into shared finances while still maintaining personal financial independence. It keeps money conversations cleaner.

C7 Important: most joint accounts allow either person to close it unilaterally. Always have a clear conversation about how the account will be used — and what happens if circumstances change.

P2 [T/F] In a joint account, all account holders share responsibility for the account. [T] | A joint account can only be a checking account. [F] | The 3-account system gives couples both shared and personal financial control. [T]

P3 [SA] Joint accounts are well-suited for: Splitting household bills [Y] · Keeping finances completely hidden from a partner [N] · Managing shared expenses with someone you trust [Y] · Earning higher interest than a solo account [N] · Couples who want shared financial visibility [Y]

Lesson 15: Money Market Accounts

C1 A money market account (MMA) is kind of a hybrid between a savings account and a checking account — but with higher interest rates and higher requirements.

C2 You probably heard the name and thought stock market right? But no, it has nothing to do with it

C2 Like a savings account, a money market account earns interest for you and the APY can be competitive with high-yield savings accounts.

C3 Unlike a high-yield savings account (which is usually online-only), many money market accounts come with a debit card or the ability to write checks, giving you more direct access to the money

C4 The catch: money market accounts often require a higher minimum balance to open and maintain — sometimes $1,000, $5,000, or even $10,000. If your balance drops below the minimum, you may be charged a fee.

P1 [MC] What makes a money market account different from a regular savings account? (A) It has no interest (B) It is not FDIC insured (C) It typically offers higher interest and sometimes includes check-writing or a debit card ✓ (D) It only works for businesses

C5 Money market accounts are best suited for people who have a larger chunk of money they want to keep accessible — but also want it earning more than a regular savings account.

C6 Think of it like this: checking account for daily spending → savings/HYSA for emergency fund → money market for a larger, more stable reserve you want earning a decent return.

C7 Money market accounts are also FDIC insured (or NCUA insured at credit unions), so they're low-risk. They're not as commonly discussed as checking or savings accounts, but they're worth knowing about as you grow financially

P2 [T/F] Money market accounts are FDIC insured. [T] | You can open a money market account with any balance, no minimum required. [F] | Money market accounts sometimes include check-writing privileges. [T]

P3 [SA] Money market accounts are ideal for: Someone with a larger balance who wants higher interest [Y] · Daily everyday spending [N] · Storing funds you want accessible but growing [Y] · People who want zero minimum balance requirements [N]

Module 6: Consumer Skills

Lesson 1: Types of Income

C1 You already know income means money coming in. But not all income is created equal

C2 Understanding the types of income you can earn is the first step in thinking about how to grow your wealth

C3 Remember it's not just about having a single high-paying job. It's about multiple streams of income (MSI)

C3 Earned income — money you work for. Wages, salaries, tips, freelance payments. This is the most common type and usually the starting point for everyone.

C4 Passive income — money that comes in without you actively working for it

C5 For example, rental income from a property, royalties from a book or music, a business that runs on its own. This is the goal for a lot of financially savvy people.

C6 Portfolio income — income from investments: profits from selling stocks, dividends earned, interest from bonds. While it is also passive, it's technically its own category.

P1 [MC] Which type of income requires you to actively work for it? (A) Passive income (B) Portfolio income (C) Earned income ✓ (D) Dividend income

C5 Side hustle income — a term you've probably heard. This is additional earned income outside of your main job. Freelancing, reselling, content creation, tutoring, gig work. For a lot of young adults, this is where extra income comes from.

C6 Transfer income — money received from government programs or family: financial aid, scholarships, gifts, Social Security, child support. This counts as income but may or may not be taxable depending on the source.

C7 Why does this matter? Because the path to financial freedom isn't just "earn more at your job". It's about diversifying where money comes from so you're not 100% dependent on one source

P2 [SA] Which of the following are examples of passive income? Wages from a part-time job [N] · Rental income from a property [Y] · Dividends from stocks you own [Y] · Freelance design work [N] · Royalties from a book you wrote [Y]

P3 [MT] Match income type to example: Earned income → Working a shift at a restaurant | Passive income → Collecting rent from a tenant | Portfolio income → Selling stock for a profit | Side hustle → Selling handmade jewelry online | Transfer income → A college scholarship

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Lesson 2: Understanding Your Expenses

C1 You know expenses are what go out. What you might not know is why categorizing them is important

C2 It helps you understand your habits and gives you control of where your money goes

C2 Fixed expenses are the same every month. Rent, car payment, loan payment, insurance premiums. They're consistent, easy to plan for, and should be top priority

C3 Variable expenses always change month to month. Groceries, gas, dining out, entertainment. This is where most people can adjust

C4 Discretionary expenses are 'wants' rather than 'needs.' Streaming subscriptions, new clothes, concerts, takeout. Not bad to have — but the first category to cut if money gets tight.

P1 [SA] Which of the following are fixed expenses? Monthly rent [Y] · Groceries [N] · Car insurance payment [Y] · Going to the movies [N] · Student loan payment [Y]

C5 Non-discretionary expenses are 'needs.' Housing, food, transportation, utilities, healthcare. These are harder to cut and should be the foundation of your budget.

C6 Understanding which expenses are fixed vs variable, and discretionary vs non-discretionary, gives you a map of your spending. You can see quickly where you have wiggle room and where you don't.

C7 A useful mindset shift: instead of only thinking 'how do I make more money,' also think 'where is money leaving that I don't really need it to?'

C8 Small reductions in recurring expenses add up over a full year. Just like interest, everything adds up. Don't overlook how expensive spending $4 everyday at a vending machine is

P2 [MC] Which type of expense gives you the most flexibility to reduce? (A) Fixed expenses (B) Discretionary expenses ✓ (C) Non-discretionary expenses (D) All expenses are equally flexible

P3 [T/F] Fixed expenses change every month. [F] | Groceries are a variable expense. [T] | Non-discretionary expenses are things you can easily cut from your budget. [F]

P4 [DD] Sort into 'Fixed' vs 'Variable' expenses: Monthly rent [Fixed] · Gas for your car [Variable] · Streaming subscription [Fixed] · Dining out [Variable] · Phone bill [Fixed] · Clothing shopping [Variable]

Lesson 3: Budgeting — Building Your Plan

C1 A budget is just a plan. It's not a punishment or something telling you that you can't have fun

C2 It's deciding ahead of time where your money goes instead of wondering where it went when its gone

C3 One of the most popular budgeting frameworks is the 50/30/20 rule: 50% of your take-home pay for needs · 30% for wants · 20% for savings and debt repayment

C4 This is a starting point, not a law. Each person can change this to suit their lifestyle

C5 Someone with a high cost of living might need 60% for needs. Someone focused on saving fast might flip it and do 50% savings. The point is to have a framework

C6 Step 1: Know your monthly take-home income (net pay — after taxes and deductions)

C7 Doesn't have to be exact but it's a good idea to know more or less. And don't lie when building your budget. You're only lying to yourself.

C8 If your income varies month to month, get the average and always round down. Rounding down helps make sure you always have your bases covered and maybe even end up saving more than you expected

P1 [MC] Using the 50/30/20 rule, if your monthly take-home is $2,000, how much should go toward savings/debt repayment? (A) $200 (B) $600 (C) $400 ✓ (D) $1,000

C9 Step 2: List all your fixed expenses. This is your non-negotiable baseline — rent, utilities, subscriptions, phone, loan payments, insurance. These happen regardless.

C6 Step 3: Estimate your variable expenses. What do you typically spend on food, gas, entertainment, and personal care? Track your last 2–3 months to get a realistic number.

C7 Step 4: Subtract total expenses from income. If the number is positive, great — that's your surplus, which goes to savings or extra debt payoff. If negative, something needs to change

P2 [SA] Good budgeting habits include: Knowing your monthly take-home pay [Y] · Guessing your expenses [N] · Tracking fixed and variable expenses separately [Y] · Spending every dollar you earn [N] · Adjusting your budget when income or expenses change [Y]

P3 [T/F] The 50/30/20 rule must be followed exactly or your budget is wrong. [F] | A budget surplus is the amount left after all expenses are covered. [T] | Tracking past spending helps you estimate future variable expenses. [T]

C8 It might seem like too much work, but it doesn't have to be. There are many apps that connect to your bank and help you budget or simply track your spending

C9 Remember, you don't always have to stick to your budget down to the dollar. But it is important to have a general idea and make sure you are controlling your cash flow. Surprises are fun, but not to your bank account

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Lesson 4: Smart Spending

C1 Spending money isn't bad — spending money carelessly is. Smart spending means getting the most value out of every dollar you spend.

C2 Believe it or not, even how you pay can affect your habits. Each method has its place.

C3 Credit cards with rewards are great when you pay them off monthly

C4 Cash is useful for discretionary spending (harder to overspend when you can see the bills disappearing)

C5 And debit just keeps things simple.

C6 There’s more to it on just how to spend. Comparing products is something we do every single day.

C7 Unit price is a massively underused tool. When choosing between sizes or brands at a store, the unit price (cost per oz, per item, per unit) tells you the real value

C8 A bigger package isn't always cheaper per unit. This is important, you don’t want to overpay for goods

C9 Unit just means one. Usually bigger items give better deals for buying in bulk, but it isn’t always the case

P1 [MC] You're choosing between a 12 oz bottle of juice for $3 and a 20 oz bottle for $4. How do you know which is the better value per ounce? (A) divide cost by oz so the 12 oz. (B) divide cost by oz so the 20 oz. (C) divide oz. by cost so 12 oz. (D) they’re equal

C10 Impulse buying, the biggest budget killer. This is when you buy something randomly just because. Could be emotions, an ad, or just being bored

C11 There is a whole science behind getting people to buy their product impulsively. You’re better, think twice about whether you should actually get it

C12 The 24-hour rule: if you see something you want that isn't a need, wait 24 hours before buying it

C13 Most impulse purchases lose their appeal within a day. This simple trick saves real money and stops you from buying useless items

C14 Subscriptions are sneaky. Most people underestimate how many they have.

C15 A streaming service here, an app there, a membership somewhere else. They add up

C16 And they can add up fast

C17 They’re everywhere now, so make sure you’re checking your accounts or using an app to track how many you have

C18 You don’t want to randomly check one day and see you’ve been charged $15 for something you don’t even use

P2 [SA] Smart spending habits include: Using the unit price to compare value [Y] · Always buying the brand name [N] · Waiting 24 hours before impulse purchases [Y] · Auditing subscriptions regularly [Y] · Paying for every purchase with BNPL apps [N]

P3 [T/F] The 24-hour rule helps reduce impulse buying. [T] | A larger package always has a better unit price than a smaller one. [F] | Subscriptions are easy to track because they're small amounts. [F]

Lesson 5: Smart Saving

C1 Saving money is a habit — and like any habit, it's easier to maintain when you have a system. Save smarter, not just harder.

C2 Pay yourself first. This is one of the most powerful saving principles out there

C3 The moment money hits your account, transfer a set amount to savings before you spend anything. Treat it like a bill you owe to future you

C4 Automate it. Set up an automatic transfer from your checking to your savings account on the day you get paid.

C5 Willpower alone doesn’t always get people moving, so just make it automatic

C6 Start saving for an emergency fund, before saving for anything else

C7 Life happens and you don’t know when you’ll need some extra cash. Aim to build 3–6 months of expenses in an accessible savings account

C8 It may seem like a lot. But a financial buffer can be make or break for a lot of people when surprises happen

P1 [MC] What does 'pay yourself first' mean? (A) Spend on yourself before paying bills (B) Transfer money to savings before spending the rest ✓ (C) Earn money through self-employment (D) Avoid paying others until you're secure

C9 Once your emergency fund is solid, think about savings goals

C10 Depending on what goals you have is how you should save and put in different accounts

C11 *Short-term goals (under 1 year): keep in a regular or high-yield savings account *Medium-term goals (1–5 years): high-yield savings or CDs *Long-term goals (5+ years): investments

C12 Even small amounts matter. $5/day is $1,825 a year. $25/week is $1,300 a year.

C13 People underestimate how quickly small consistent deposits add up

C14 Especially with compound interest on top of that

C15 The final smart saving trick we recommend is saving for sinking funds

C16 It’s when you set aside a small amount each month because you know you have to spend money, you just don’t know where

C17 It could be your car registration, maybe you’re visiting the dentist this month, holiday or birthday gifts

C18 These expenses are real and when the bill arrives, you want the money to be there already

P2 [T/F] Automating savings transfers makes it easier to save consistently. [T] | You should wait until you're debt-free before starting to save. [F] | Sinking funds help prepare for predictable irregular expenses. [T]

P3 [SA] Smart saving strategies include: Paying yourself first [Y] · Saving only when you have leftover money at the end of the month [N] · Automating transfers to savings [Y] · Building an emergency fund before other savings goals [Y] · Using a high-yield savings account for money you won't touch for 2+ years [Y]

Lesson 7: Introduction to Investing

C1 Investing sounds intimidating. But at its core, it's simple: put money to work

C2 If the only money you earn is from hours you put in, it’s hard to grow your wealth

C2 Inflation is unstoppable. If you keep all your money in a low-interest account, inflation slowly takes its purchasing power

C3 Purchasing power is how much you could buy with a certain amount. Everyone knows $20 today is not the same as $20 in 1970.

C4 Investing is how you stay ahead of inflation and keep your purchasing power

C5 There are a couple of different ways to invest and so many unique strategies. This lesson just covers different places to put your money

C6 Complete the investing module before pouring your hard-earned money into risky places

C7 The stock market: when you buy a stock, you're buying a small piece of a company

C8 If the company does well, your piece becomes worth more. If it does poorly, it's worth less

C9 Over long periods of time, the overall market has historically grown.

C10 Index funds — one of the most recommended investments for beginners because of its low risk and good yield

C11 Instead of picking individual stocks, an index fund automatically invests in hundreds or thousands of companies at once

C12 It tracks an index like the S&P 500 (the 500 largest US companies).

P1 [MC] What is an index fund? (A) A single company's stock (B) A fund that tracks a specific market index like the S&P 500 ✓ (C) A type of savings account (D) A government bond

C13 ETFs (Exchange-Traded Funds) — similar to index funds but traded on stock exchanges like individual stocks

C14 ETFs have low fees, are diversified, and beginner-friendly

C15 Bonds — basically lending money to a government or corporation and earning interest

C16 There is very little risk (less than stocks), but also lower return

C17 They're very good to balance a portfolio as you get closer to retirement.

C18 Always remember risk and return are related. Higher potential return = higher potential risk

C19 Take into account when you'll want the money back before deciding where to put it

C20 Some are good for short term while others are better in the long term. Time should be your teammate, especially while you're young

P2 [SA] Which of the following are true about index funds? They invest in one company at a time [N] · They track a market index like the S&P 500 [Y] · They're a common recommendation for beginners [Y] · They guarantee returns [N] · They tend to have lower fees than actively managed funds [Y]

P3 [T/F] Investing in the stock market guarantees you will earn money. [F] | A longer time horizon helps reduce the impact of short-term market dips. [T] | Bonds typically offer higher returns than stocks over the long term. [F]

C21 This is just an intro. Investing gets its own full module where we go deeper into how to actually start, what to invest in, and how to think about risk. For now, just know that investing is a critical part of building long-term wealth.

Module 7: IRL Money Skills

Everyday tasks that nobody teaches you but everyone needs to know.

Lesson 1: How to Cash or Deposit a Check

C1 Checks might seem old-fashioned, but they're still in use, sometimes. Yes, we're moving away from them, but yes it's also important to know about them

C2 Tax refunds, graduation gifts, reimbursements — you'll likely receive checks throughout your life. Here's how to handle them.

C3 Endorsing a check — before you deposit or cash a check, you need to sign the back. This is called endorsing

C4 If it's not endorsed, the check can't be processed

C5 The fastest and most convenient way to deposit a check is mobile deposit. Just take a photo through your bank's app and upload it

C6 The other two ways are ATM deposit or a bank teller (the person at the bank window)

C7 Funds usually become available after 1–2 business days for most checks. Larger checks or checks from out-of-state banks may take longer. Your bank will tell you the hold policy.

P1 [MC] What does it mean to 'endorse' a check? (A) Approve the check amount (B) Sign the back of the check before depositing or cashing it ✓ (C) Send the check back to the issuer (D) Convert it to cash automatically

C8 Lost or stolen check? Contact whoever sent it immediately. They'll need to cancel (stop payment on) the original and issue a new one. There may be a small fee for stop payments.

C7 Personal checks — if you're ever given a blank check to write out: fill in the date, payee (who it's to), dollar amount in numbers AND written out in words, and sign it. Both the number and written amounts must match.

P2 [SA] Correct steps when depositing a check via mobile deposit: Endorse (sign) the back [Y] · Write 'For Mobile Deposit Only' [Y] · Fold the check to fit in the photo [N] · Ensure all four corners are visible in the photo [Y] · Deposit checks at any ATM including out-of-network [N]

Lesson 2: Setting Up Direct Deposit

C1 Direct deposit is one of the simplest ways to make sure you actually get paid on time — directly into your bank account. Here's exactly how to set it up.

C2 To set up direct deposit, you need two pieces of information: your bank's routing number and your account number. Both are found at the bottom of a paper check, or in your bank's app under account details.

C3 Routing number — a 9-digit number that identifies your bank. Every bank has its own. It tells the system which bank to send money to.

C4 Account number — identifies your specific account. This is different from your debit card number. Never give your debit card number for direct deposit — that's not the same thing.

P1 [MC] What two pieces of information are needed to set up direct deposit? (A) Debit card number and PIN (B) Routing number and account number ✓ (C) SSN and bank branch address (D) Account username and password

C5 How to set it up: your employer will give you a direct deposit form (or have an online portal). Fill in your routing number, account number, and account type (checking or savings). Done.

C6 Many employers have a setup period of 1–2 pay cycles before direct deposit kicks in. Your first paycheck might still be a paper check or pay card. Don't panic.

C7 You can usually split direct deposit between multiple accounts — for example, $200 goes directly to savings and the rest goes to checking. A very easy way to automate the 'pay yourself first' habit.

P2 [T/F] Your debit card number is the same as your account number. [F] | You can split direct deposit between a checking and savings account. [T] | A routing number identifies your specific account. [F — it identifies your bank]

P3 [SA] What can you find on a paper check? Your routing number [Y] · Your PIN [N] · Your account number [Y] · Your credit score [N] · Your bank's name [Y]

Lesson 3: Reading a Pay Stub

C1 Your first paycheck might be confusing. The number you were offered and the number deposited are often very different. That's because of deductions. Your pay stub explains exactly what happened to your money.

C2 Gross pay — what you earned before any deductions. If you're paid $15/hour and worked 40 hours, gross pay is $600.

C3 Net pay (take-home pay) — what actually hits your bank account after all deductions. This is the number you should base your budget on.

C4 Common deductions you'll see: Federal income tax · State income tax (if applicable) · Social Security tax (6.2%) · Medicare tax (1.45%) · Health insurance (if enrolled) · 401k contribution (if enrolled)

P1 [MC] If your gross pay is $800 and your total deductions are $175, what is your net pay? (A) $975 (B) $175 (C) $625 ✓ (D) $800

C5 Year-to-date (YTD) — your pay stub usually shows YTD totals for both earnings and deductions. This tracks how much you've earned and paid so far in the current year — useful for tax purposes.

C6 Some deductions are pre-tax (taken before income tax is calculated — like 401k contributions and health insurance), which actually lowers your taxable income. Others are post-tax. Your pay stub shows both.

C7 Always review your pay stub when you get a new job or when something changes (new benefits, raise, etc.). Errors happen — and catching them is your responsibility.

P2 [SA] Which of the following are typically shown on a pay stub? Gross pay [Y] · Net pay [Y] · Credit score [N] · Social Security tax withheld [Y] · Year-to-date earnings [Y] · Bank account balance [N]

P3 [T/F] Net pay is always higher than gross pay. [F] | Pre-tax deductions reduce your taxable income. [T] | You should review your pay stub when you start a new job. [T]

Lesson 4: Protecting Yourself from Scams & Fraud

C1 Financial fraud is one of the fastest-growing crimes — and young adults are a common target. Not because you're naive, but because scammers know you're just starting to build financial accounts and might not recognize the warning signs.

C2 Common scams to know: Phishing — fake emails or texts pretending to be your bank, asking you to click a link and enter your info. Your bank will NEVER ask for your password via email. · Impersonation — someone calls claiming to be the IRS, a bank, or a government agency threatening immediate action.

C3 More scams: Job offer scams — fake job offers that ask you to deposit a check and send some money back (the check bounces later, and you're on the hook). · 'You won a prize' scams — you have to pay a fee to claim it. Legit prizes never require you to pay first.

C4 Romance scams — someone builds a relationship online then eventually asks for money. These are emotionally manipulative and increasingly common, especially in younger age groups.

P1 [MC] Your bank sends you a text message with a link asking you to verify your account immediately. What should you do? (A) Click the link and enter your info (B) Ignore it and do nothing (C) Call your bank directly using the number on the back of your card to verify ✓ (D) Reply to the text with your account info

C5 Red flags of a scam: Urgency — 'you must act NOW or your account will be closed' · Unusual payment requests — gift cards, wire transfers, cryptocurrency · Too good to be true — guaranteed job, free money, unbelievable prizes · Request for personal info via text or email

C6 Protecting your accounts: Never share passwords or PINs · Use strong, unique passwords for banking apps · Enable two-factor authentication (2FA) · Monitor your accounts regularly for unfamiliar transactions · Freeze your credit if you suspect identity theft (it's free)

C7 If you're scammed: act fast. Contact your bank immediately, freeze your cards, change your passwords, and report it to the FTC at reportfraud.ftc.gov. The sooner you act, the better your chances of recovering money.

P2 [SA] Red flags that something might be a scam: Urgency to act immediately [Y] · Asking for payment in gift cards [Y] · A bank asking for your PIN over email [Y] · A job that requires a degree [N] · Too-good-to-be-true promises [Y]

P3 [T/F] Your bank will never ask for your password via email or text. [T] | If you receive a suspicious call from 'the IRS,' you should give them your SSN to verify. [F] | Freezing your credit is a free way to protect yourself from identity theft. [T]

Lesson 5: Traveling to another country

Getting out of debt

Lesson 1: Don’t worry

C1 Seriously, don't worry. It happens and the fact that you are here is an important first step.
C2 Don't worry doesn't mean to ignore it. It is important to address your debt
C4 It may be a difficult process but start now. No debt is insurmountable
C5 Just like everything, you need your mind to be in the right place.
C6 Sink or swim? Yea we're choosing to swim

C7 We don't know everyone's exact circumstances, or how the debt started
C8 It could be credit card misuse, student loans, or life just lifing (yes we made that word up)
C9 Our goal to help you is to first make sure your mind is ready, because we know it can take a toll on people.
C10 Then we have to understand what traps are out there in the financial world and which habits commonly build debt
C11 After that we can offer advice on steps to change the habits and a game plan to do that
C12 This will be general advice. While it will be helpful, look for financial advisors for personalized coaching on your exact situation. They can also help keep you accountable

Lesson 2: Understand what got you there

Lesson 3: Change the habits

Lesson 4: Game plan part 1

Lesson 5: Game plan part 2

MODULE 6: How Banks Work

Short module — understanding the institution behind all your accounts.

Lesson 1: In-Person vs. Digital Banks

C1 When it comes to picking a place to keep your cash, most people just go with whatever bank their parents use or whichever one has a branch closest to campus. It's easy, it's familiar, and it gets the job done. But banking has changed a lot recently, and you actually have two very different flavors of banks to choose from: traditional in-person banks and online-only digital banks.

C2 Traditional banks are the ones you see on the street corner with physical brick-and-mortar buildings and local ATMs (think Chase, Bank of America, or Wells Fargo).

- **The Big Advantage:** They offer face-to-face customer service. If your account gets locked or you have a weird fee issue, you can walk in and talk to a real human. They also make it incredibly easy to deposit physical cash from a summer job or a side hustle.

- **The Downside:** Running hundreds of physical buildings with electricity, tellers, and vault security is incredibly expensive. To pay for all that overhead, traditional banks typically offer terrible, near-zero interest rates on your savings, and they love to sneak in monthly maintenance fees if your balance dips too low.

C3 On the flip side, you have digital banks (like Ally or Capital One). These are modern banks that operate entirely online—no branches, no tellers, no physical buildings at all.

- **The Big Advantage:** Because they don't have to pay rent on retail buildings, they save a massive amount of money. They pass those savings directly to you. Digital banks rarely charge monthly fees, and they offer interest rates on your savings that are often 10 to 20 times higher than a traditional bank.
- **The Downside:** If you prefer talking to someone face-to-face, you're out of luck; everything is handled via an app or a phone call. Also, because there are no tellers, depositing physical cash into an online account can be a major headache.

C4 So, when do you use what? It doesn't have to be an all-or-nothing choice. A lot of students use a traditional bank for their everyday checking account (for easy ATM access and cash deposits) but move their emergency fund or long-term savings over to a digital bank to let that high interest rate quietly build extra cash.

P1 [MC] Why do digital banks usually offer much higher interest rates on savings accounts compared to traditional banks?

(A) They are run by the government. (B) They don't have the high overhead costs of maintaining physical buildings, so they pass the savings to you. ✓ (C) They charge you a fee every time you log into the app. (D) They only allow you to withdraw money once a year.

P2 [T/F] Traditional banks are usually best if you regularly need to deposit physical cash or want to talk to a human in person. [T] | You are forced to choose only one bank and cannot split your money between traditional and digital accounts. [F] | Digital banks generally charge more monthly maintenance fees than traditional banks. [F]

Lesson 2: The Credit Union Alternative

C1 Now that you know the difference between standard banks, let's talk about an alternative that a lot of people overlook simply because they don't know what it is: the Credit Union.

C2 At first glance, a credit union looks and acts exactly like a normal bank. They have physical branches, debit cards, checking accounts, and mobile apps. But under the hood, the business model is completely inverted. Remember, regular banks are privately owned, for-profit businesses. Their primary goal is to make money for their investors. Credit unions, however, are **nonprofits** that are entirely owned by their members.

C3 When you open an account at a credit union, you aren't just a number on a spreadsheet—you are legally a member and a part-owner. Because they don't have to worry about making Wall Street investors rich, any extra money they make goes right back into the institution.

- **The Big Advantage:** Because of their nonprofit setup, credit unions are famous for having amazing customer service, fewer random fees, and much lower interest rates when you need to take out a loan (like a car loan or a student loan).
- **The Downside:** They are usually hyper-local. They have a smaller geographic footprint, meaning fewer branches and smaller ATM networks if you travel out of state. Also, you can't just walk in and join any credit union; you usually have to meet specific eligibility rules, like living in a certain county or attending a specific university.

C4 Think of a credit union as your local, community-focused option. If you're looking to buy a car in the near future or just want a financial institution that feels a bit more personal and less corporate, checking out a local credit union is a fantastic move.

P1 [MC] What is the core structural difference between a standard bank and a credit union?

(A) Standard banks are online-only, while credit unions only use physical paper. (B) Credit unions are member-owned nonprofits, while standard banks are for-profit businesses. ✓ (C) Credit unions do not offer debit cards to students. (D) Standard banks are free, while credit unions charge a membership fee to open an account.

P2 [SA] Which of the following are true about credit unions? They are run as for-profit corporations [N] · They often offer lower interest rates on car or student loans [Y] · Anyone in the world can join any credit union without restrictions [N] · They tend to have smaller physical branch networks than massive national banks [Y]

Lesson 3: Entering the Robo-Advisor

C1 The financial tools we just covered—traditional banks, digital banks, and credit unions—all have one job: they are places to *store* your cash safely so you can pay your bills, use an ATM, and keep your money protected. But what happens when you've saved up some money, built an emergency fund, and want to start actually *growing* your wealth for the future? That's where you step out of the banking world and into the investing world.

C2 For a long time, investing in the stock market meant you either had to spend hours researching companies yourself or pay a massive fee to hire a human financial advisor. Enter the robo-advisor.

C3 A robo-advisor is an automated, digital service that uses computer algorithms to build and manage an investment portfolio for you (think of platforms like Betterment or Wealthfront). Instead of you picking individual stocks, the app asks you a few simple questions about your goals, your timeline, and how much risk you're comfortable with. Then, it automatically spreads your money across a diversified mix of low-cost investments.

- **The Big Advantage:** It is completely hands-off. The software automatically handles the complicated stuff, like rebalancing your portfolio when the market shifts. The fees are incredibly low (usually a fraction of what a human advisor charges), and you can start investing with just a few dollars.
- **The Downside:** This is **not** a bank account. Your money is invested in the stock market, meaning it is not FDIC insured. The value of your account will fluctuate—it can go up, but it can also go down if the market has a bad week. You also can't use it for daily tasks like paying rent or pulling cash out of an ATM.

C4 The golden rule here is simple: if you need your money within the next year or two for rent, books, or an emergency, keep it safe in a bank or credit union. But if you have cash you won't need for 3+ years and you want to start building long-term wealth without having to become a stock market expert overnight, a robo-advisor is a perfect starter tool.

P1 [MC] When is the most appropriate time to use a robo-advisor?

(A) When you need a safe checking account to pay your monthly utilities. (B) When you want to invest money for long-term goals and let software automate the portfolio management. ✓ (C) When you need to withdraw cash from an ATM on campus. (D) When you want to guarantee your money will never lose value.

P2 [T/F] Money kept in a robo-advisor account is FDIC insured just like a standard bank account. [F] | Robo-advisors are hands-off tools that don't require you to manually trade stocks. [T] | You should use a robo-advisor to store your short-term emergency fund cash. [F]

Lesson 1: Banks Are Businesses

C1 Let's clear something up right away: banks are not a public service. They are privately owned, for-profit businesses. Just like a restaurant or a clothing store, their goal is to make money.

C2 That doesn't make them evil — but it does mean they have financial interests that are separate from yours. Understanding that changes how you interact with them.

C3 Banks make money in several ways: charging fees, earning interest on loans, and investing. Every product a bank offers — checking accounts, savings accounts, credit cards, mortgages — is designed with profitability in mind.

C4 That's not a reason to avoid banks. They provide an essential service and your deposits are protected by FDIC insurance. But knowing they're a business helps you read the fine print, avoid unnecessary fees, and shop around for better terms.

P1 [MC] What type of organization is a bank?

- (A) A government agency
- (B) A nonprofit

- **(C) A privately owned, for-profit business ✓**
- (D) A community cooperative

C5 Types of banking institutions: **Commercial banks** — the large national or regional banks most people use (Chase, Bank of America, Wells Fargo, etc.) · **Credit unions** — member-owned, nonprofit institutions that often offer lower fees and better rates · **Online banks** — no physical branches, lower overhead, often pass savings to customers through higher APYs and fewer fees

C6 Credit unions deserve a special mention. Because they're nonprofit and owned by their members (you're both a customer and a part-owner), their goal is to serve members rather than maximize profit. They often have better savings rates and lower loan rates than traditional banks.

C7 The bottom line: you are a customer, and customers have choices. Don't feel locked in to one bank. If another bank offers better rates, fewer fees, or a better app — you can switch. Banks compete for your business.

P2 [SA] Which of the following are true about banks? They are privately owned businesses **[Y]** · Their deposits are FDIC insured **[Y]** · Their primary goal is to serve the public **[N]** · They compete with each other for customers **[Y]** · Credit unions are a nonprofit alternative to banks **[Y]**

P3 [T/F] Banks are government-run institutions. **[F]** | Credit unions are member-owned and tend to offer better rates than traditional banks. **[T]** | You are free to switch banks if you find a better option. **[T]**

Lesson 2: How Banks Make Money

C1 So if banks are businesses, how do they actually make money? The answer is mostly: by using your money. When you deposit funds, the bank doesn't just let that money sit in a vault.

C2 Banks take the money deposited by customers and lend it out to other customers as loans — mortgages, car loans, personal loans, credit cards. The bank charges borrowers interest on those loans. That interest is the bank's primary revenue.

C3 Here's the key dynamic: the bank pays you a small interest rate on your savings (say 0.5%), then turns around and lends that money out at a much higher rate (say 7% on a car loan). The difference — called the **net interest margin** — is profit.

C4 This is why banks can offer you a 'free' checking account. It's not really free — you're giving them access to your money, which they lend out at a profit. The account itself is a tool to hold your deposits.

P1 [MC] What is the main way banks generate revenue?

- (A) Charging ATM fees
- (B) Selling financial products to other companies
- **(C) Collecting interest on loans they give out ✓**
- (D) Investing customers' money in the stock market

C5 Banks also make money through fees — overdraft fees, monthly maintenance fees, wire transfer fees, foreign transaction fees, and more. For customers who don't know better, these add up fast. That's why we covered them early.

C6 A third revenue stream is investments. Banks invest a portion of their holdings in government bonds and other low-risk assets to generate additional returns. This is tightly regulated to prevent banks from taking on too much risk.

C7 Understanding this system explains a lot: why checking accounts earn almost no interest (the bank is already profiting from your deposits), why savings rates are low (they don't need to pay you much), and why loan rates are higher (that's where the real money is).

P2 [T/F] When you deposit money in a bank, the bank stores it untouched in a vault. **[F]** | The difference between the rate banks pay on savings and charge on loans is a source of profit. **[T]** | Bank fees are another way banks generate revenue. **[T]**

P3 [MC] A bank pays 0.5% APY on savings and charges 8% on car loans. What is the approximate net interest margin?

- (A) 0.5%
- (B) 8%
- **(C) 7.5% ✓**
- (D) 8.5%

Lesson 3: How Loans Work

C1 Loans are the core product of a bank. Understanding how they work helps you borrow smarter — and avoid costly mistakes.

C2 When a bank gives you a loan, you receive a lump sum upfront and agree to pay it back over a set period of time, plus interest. The interest is the bank's compensation for the risk of lending to you.

C3 The interest rate you receive is not random — it's based largely on your credit score. Higher credit score = lower risk for the bank = lower interest rate for you. Lower score = more risk = higher rate. This is why building credit matters.

C4 Common types of loans: **Mortgage** — used to buy a home, typically 15–30 years · **Auto loan** — used to buy a car, typically 3–7 years · **Personal loan** — general purpose, 1–7 years

· **Student loan** — used to fund education · **Credit card**— a revolving line of credit with no fixed term

P1 [MC] What largely determines the interest rate a bank offers you on a loan?

- (A) How long you've had a bank account
- **(B) Your credit score ✓**
- (C) How much money you have in savings
- (D) Which state you live in

C5 Two key loan terms: **Principal** — the original amount borrowed · **Interest** — the cost charged for borrowing. Each monthly payment goes toward both. Early in a loan, most of your payment goes to interest. Over time, more goes toward principal.

C6 Collateral — some loans require you to put up an asset as security. A mortgage uses the house; an auto loan uses the car. If you stop making payments, the bank can take the asset. Loans with collateral = **secured**. Loans without = **unsecured**.

C7 The golden rule of borrowing: only take on debt for things worth the total cost — including interest. A $20,000 car loan at 8% over 5 years actually costs you more than $24,000 total. Always calculate the real cost.

P2 [SA] Which of the following are true about loans? You pay back the original amount plus interest **[Y]** · Your credit score affects the interest rate you receive **[Y]** · All loans require collateral **[N]** · A mortgage uses the home as collateral **[Y]** · Early loan payments go mostly toward principal **[N]**

P3 [T/F] Principal is the interest charged on a loan. **[F]** | Secured loans require an asset as collateral. **[T]** | A higher credit score generally results in a lower interest rate on a loan. **[T]**

Lesson 4: Fractional Reserve Banking & FDIC Insurance

C1 Here's something that surprises a lot of people: banks don't actually keep all your money on hand. When you deposit $1,000, the bank might only keep $100 available and lend out the rest. This is called **fractional reserve banking**.

C2 It sounds risky — and historically, it was. Before federal deposit insurance existed, bank runs were a real threat: if too many customers tried to withdraw at once, a bank could collapse and depositors could lose everything.

C3 That's why the **FDIC** (Federal Deposit Insurance Corporation) was created in 1933. It guarantees that even if a bank fails, your deposits are protected up to **$250,000** per depositor, per bank, per account category.

C4 This means: if your bank goes under tomorrow, the government ensures you get your money back — up to $250,000. For the vast majority of people, your deposits are completely safe.

P1 [MC] What is the purpose of FDIC insurance?

- (A) To help banks earn higher profits
- **(B) To protect depositors if a bank fails ✓**
- (C) To set interest rates for savings accounts
- (D) To regulate how banks advertise

C5 If you have more than $250,000 in deposits, you can spread funds across multiple banks or account types to stay within the insured limit at each.

C6 Credit unions have their own equivalent: **NCUA insurance** (National Credit Union Administration), which provides the same $250,000 protection for credit union members.

C7 The big takeaway: the US banking system has strong protections built in. You don't need to worry about losing your deposits in a regular bank or credit union. The risks worth focusing on — high fees, unfavorable loan rates — are the ones you can control.

P2 [T/F] Banks keep 100% of your deposited funds in reserve at all times. **[F]** | FDIC insurance protects up to $250,000 per depositor per bank. **[T]** | Credit unions use NCUA insurance instead of FDIC. **[T]**

P3 [SA] Which of the following are true about FDIC insurance? It protects deposits up to $250,000 **[Y]** · It was created to prevent depositors from losing money if a bank fails **[Y]** · It covers investment accounts like Roth IRAs **[N]** · Spreading deposits across multiple banks can extend your coverage **[Y]** · Credit unions use the same FDIC program as banks **[N]**

MODULE 7: Financial Services — What's Out There

Short module — a map of the financial tools available to you beyond just a bank account.

Lesson 1: Money Management & Budgeting Tools

C1 Beyond your bank account, there's an entire ecosystem of financial tools and services designed to help you manage, track, grow, and protect your money. This module is your map.

C2 The first category: **money management and budgeting apps**. These tools connect to your bank accounts and credit cards to automatically track where your money goes. They categorize spending, flag unusual charges, and show your full financial picture in one place.

C3 What they do: Track all your spending automatically across accounts · Organize expenses into categories (food, transport, subscriptions, etc.) · Alert you when you're approaching budget limits · Show month-over-month trends in your spending habits

C4 These tools are especially powerful for people with multiple accounts or cards who struggle to see the full picture. Instead of logging into three different apps, everything is in one dashboard.

P1 [MC] What is the primary function of a budgeting app?

- (A) To invest your money automatically
- **(B) To track and categorize your spending across accounts ✓**
- (C) To replace your bank account
- (D) To negotiate lower prices on your bills

C5 Some budgeting tools also offer **net worth tracking** — linking your accounts, loans, and investments so you can see your total financial position at any time. Watching your net worth grow over months and years is one of the most motivating things in personal finance.

P2 [SA] What can a budgeting app typically do? Automatically categorize your spending **[Y]** · Guarantee your investments will grow **[N]** · Alert you when you're over budget **[Y]** · Show spending trends over time **[Y]** · Replace the need to have a bank account **[N]**

Lesson 2: Subscription & Bill Tracking Services

C1 Here's a problem most people don't realize they have: **subscription creep**. Small recurring charges slowly pile up — a streaming service here, a cloud storage plan there, an app you forgot you downloaded — until you're spending $150/month on things you barely use.

C2 Subscription tracking services solve this by scanning your bank and card transactions to identify every recurring charge. They surface subscriptions you may have forgotten about and show you the true monthly total.

C3 What they do: Detect all recurring charges across your accounts · Notify you before a free trial converts to a paid subscription · Show the full monthly cost of all your subscriptions combined · Some can even negotiate or cancel subscriptions on your behalf

C4 This type of service is genuinely eye-opening for most people. The average person significantly underestimates their monthly subscriptions. Seeing them all listed in one place often prompts immediate cancellations.

P1 [MC] What is 'subscription creep'?

- (A) When a subscription service increases its price

- **(B) When small recurring charges quietly accumulate until you're overspending ✓**
- (C) When a company automatically renews your contract
- (D) When your bank charges a monthly maintenance fee

C5 Bill negotiation services are a related category. These contact your providers — internet, phone, cable — on your behalf to negotiate lower rates. They typically take a percentage of whatever they save you as their fee.

P2 [T/F] Subscription tracking services can help you identify charges you forgot about. **[T]** | The average person usually knows exactly how much they spend on subscriptions each month. **[F]** | Some services can negotiate lower bills on your behalf. **[T]**

Lesson 3: Credit Monitoring & Identity Protection Services

C1 Your credit score and personal identity are two of your most valuable financial assets — and they need to be protected. That's where credit monitoring and identity protection services come in.

C2 Credit monitoring services track your credit report and alert you to changes: a new account opened in your name, a hard inquiry, a change in your score, or a new address added to your file. Early detection is everything when it comes to fraud.

C3 What they do: Send alerts when your credit report changes · Show you your credit score and what's affecting it · Notify you of potential identity theft indicators · Some offer credit score simulators — 'what would happen to my score if I paid off this card?'

C4 Identity theft protection services go a step further. They monitor the dark web for your personal information (SSN, email, passwords), alert you if your data appears in a breach, and help you recover if your identity is stolen.

P1 [MC] What does a credit monitoring service do?

- (A) Loans you money when your score is low
- **(B) Tracks changes to your credit report and alerts you to potential fraud ✓**
- (C) Automatically improves your credit score
- (D) Replaces your credit card if it's stolen

C5 You are entitled to one free credit report per year from each of the three major credit bureaus (Equifax, Experian, TransUnion) at AnnualCreditReport.com. Reviewing these regularly — even without a paid service — is a smart habit.

C6 A **credit freeze** is a free tool you can use directly with each credit bureau. It prevents anyone from opening new credit in your name until you lift it. One of the strongest protections against identity theft — and completely free.

P2 [SA] Which of the following are things a credit monitoring service might do? Alert you when a new account is opened in your name **[Y]** · Automatically repair your credit score **[N]** · Notify you if your data appears in a data breach **[Y]** · Show you what's affecting your credit score **[Y]** · Prevent all fraud from ever happening **[N]**

P3 [T/F] You can freeze your credit for free to prevent unauthorized accounts from being opened. **[T]** | You need to pay for a service to access your credit report. **[F]** | Credit monitoring alerts you to changes on your credit report. **[T]**

Lesson 4: Investment & Robo-Advisor Services

C1 Once you have a handle on budgeting and saving, the next tool category to know about is investing services — ranging from full-service brokerages to automated platforms built for beginners.

C2 Brokerage accounts — accounts specifically for buying and selling investments like stocks, ETFs, bonds, and mutual funds. Unlike a bank account, these are not FDIC insured. The value of your investments can go up or down.

C3 Robo-advisors — automated investing platforms that build and manage a diversified portfolio for you based on your goals, timeline, and risk tolerance. You answer a few questions, deposit money, and the platform handles the rest.

C4 What robo-advisors do: Automatically build a diversified portfolio of low-cost index funds or ETFs · Rebalance your portfolio over time as markets shift · Adjust your risk level as you approach your goal · Typically charge a small annual fee (often 0.25% or less)

P1 [MC] What is a robo-advisor?

- (A) A human financial advisor who works online
- (B) An AI that predicts which stocks will go up
- **(C) An automated platform that builds and manages an investment portfolio for you ✓**
- (D) A type of savings account with variable interest

C5 Micro-investing apps are another entry point. These platforms let you invest very small amounts — sometimes rounding up your purchases to the nearest dollar and investing the change. Designed to make investing accessible even with very little to start.

C6 The key difference from a savings account: your money can grow significantly more over time, but it can also lose value in the short term. These are long-term tools — not places for money you'll need within a year or two.

P2 [T/F] Brokerage accounts are FDIC insured like bank accounts. **[F]** | Robo-advisors automatically rebalance your portfolio over time. **[T]** | Micro-investing apps require large minimum deposits to get started. **[F]**

P3 [SA] Which of the following are true about robo-advisors? They build a diversified portfolio based on your goals **[Y]** · They guarantee investment returns **[N]** · They typically charge low fees **[Y]** · They manage your portfolio automatically over time **[Y]** · They are FDIC insured **[N]**

Lesson 5: Insurance, Tax & Other Financial Services

C1 The financial services ecosystem extends beyond banking and investing. Here are a few more categories worth knowing as you enter adulthood.

C2 Insurance services — protect you from financial loss due to unexpected events. Health insurance, auto insurance, renters insurance, and life insurance all fall here. These services don't build wealth — they protect it. A single medical bill or car accident without insurance can be financially devastating.

C3 Renters insurance deserves a special callout for young adults. It's one of the cheapest and most overlooked forms of insurance. For roughly $10–$20/month, it covers your personal belongings if there's a fire, theft, or other covered event in your apartment.

C4 Tax preparation services — companies and software platforms that help you prepare and file your tax return. Some are fully automated; others connect you with a live tax professional. For simple returns, free software often does the job perfectly.

P1 [MC] What is the main purpose of insurance?

- (A) To grow your money over time
- **(B) To protect you from financial loss due to unexpected events ✓**
- (C) To replace a savings account
- (D) To help you file your taxes

C5 Payment and transfer services — platforms that make it easy to send and receive money instantly. Peer-to-peer payment apps let you split bills, pay friends, and receive money. Useful tools, but some have fees for instant transfers or for sending money via credit card.

C6 Financial planning services — working with a licensed financial planner (CFP) helps you map out your long-term strategy: retirement planning, college savings, tax optimization, estate planning. More relevant as your financial life grows in complexity, but worth knowing exists.

C7 The big picture: as your financial life grows, so does your toolkit. You don't need every service right now — but knowing they exist means you'll know where to turn when you need them.

P2 [SA] Which of the following are types of financial services? Budgeting apps **[Y]** · Renters insurance **[Y]** · Tax preparation software **[Y]** · Social media platforms **[N]** · Robo-advisors **[Y]** · Credit monitoring **[Y]**

P3 [T/F] Renters insurance is expensive and only worth it for homeowners. **[F]** | Peer-to-peer payment apps may charge fees for certain types of transfers. **[T]** | A certified financial planner can help with long-term financial strategy. **[T]**